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China Regional Banks

4Q25/1Q26: NII recovery supports growth, while fees and AQ drive divergence; downgrade BoSH and BoBJ

1Q26 results for China regional banks (CRBs) showed a continued recovery in core earnings, supported by stronger NII growth (+16% y/y for J.P. Morgan-covered CRBs) and early signs of NIM stabilization. PPOP growth improved to 13% y/y in 1Q, with improvements in opex control, while bottom-line growth (+7% y/y) was capped by higher credit costs. We believe the sector is entering a more stock-specific phase, where banks with stronger core earnings recoveries and better risk control should outperform. Our top picks are BoNB and CRCB. We downgrade BoBJ to UW from Neutral and BoSH to Neutral from OW.

- 1Q26 key trends: Broad-based NII recovery, divergent performance in fees and credit costs.** CRBs delivered improvements in 1Q26 operating trends, driven mainly by stronger NII and early NIM stabilization. However, this is not yet a clean profit recovery, as fee trends remain uneven, non-fees remain volatile, and rising credit costs offset part of the PPOP improvement. CRBs' average loan growth (5% q/q in 1Q) remains stronger than SOE banks' and system levels, with corporate lending the key driver. AQ indicators remain broadly stable, but retail and SME-related risks remain the key points to watch. The CET1 buffer weakens, which could be a threat that limits asset expansion and dividend stability, as CRBs are short of external capital raising channels.
- Top picks: BoNB and CRCB.** BoNB remains our top pick among CRBs, supported by the cleanest 1Q26 beat and the most visible fee upside. We believe the combination of NII recovery, fee acceleration, improving forward-looking AQ indicators and a positive FY25 dividend surprise should continue to support BoNB's valuation premium. We also like CRCB for its improving earnings trend, the scarcity value of an ROE recovery among A-share banks, and regional advantage in the Chengdu-Chongqing economic circle. We believe CRCB's valuation of a 0.54x 2026E P/B does not fully capture the upward ROE revision following strong FY25 results (please see our CRCB note [here](#) for details).
- Rating changes: (1) We downgrade BoBJ to UW from Neutral,** as we believe rising AQ risks and limited provision buffers could keep 2026E EPS growth in single digits (JPMe 5%) despite the depressed FY25 base, while its weak CET1 position may constrain loan growth and threaten dividend sustainability, implying downside risks to both EPS and DPS. Our 2026/27 profits forecasts are -4%/-5% below Wind consensus, as we factor in higher credit cost assumptions than the Street to reflect rising risks in its loan book. **(2) We downgrade BoSH to Neutral from OW,** as its core earnings recovery is weaker than peers'. Meanwhile, management's strategy of stable low-single-digit EPS growth with a c30% payout ratio positioning the bank as a defensive yield name. We believe investor appetite for non-SOE bank dividend plays is fading, while regional bank investors increasingly seek higher-beta names with re-rating stories. That said, although BoSH's 2026E dividend yield of 5.5% should protect downside, we see limited upside from here, given its below-peer NII/fee momentum and subdued loan growth.

China

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See page 40 for analyst certification and important disclosures, including non-US analyst disclosures.

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
Bank of Beijing - A	601169 CH	16,045	CNY	5.17	UW	N	4.40	Dec-26	6.00	n/c
Bank of Hangzhou - A	600926 CH	14,137	CNY	16.24	N	n/c	15.60	Dec-26	n/c	n/c
Bank of Nanjing - A	601009 CH	16,701	CNY	11.00	OW	n/c	12.80	Dec-26	13.40	n/c
Bank of Ningbo - A	002142 CH	30,128	CNY	31.08	OW	n/c	38.80	Dec-26	38.20	n/c
Bank of Shanghai - A	601229 CH	19,310	CNY	9.26	N	OW	9.50	Dec-26	11.70	n/c
Changshu Rural Commercial Bank - A	601128 CH	2,893	CNY	7.19	UW	n/c	6.20	Dec-26	5.50	n/c
Chongqing Rural Commercial Bank - A	601077 CH	11,436	CNY	6.86	OW	n/c	8.30	Dec-26	n/c	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 18 May 26.

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Valuation table

Table 1: Valuation table for China regional banks

Company	BBG code	Share price		PT (LC)	Mkt cap (US\$ bn)	P/E (x)		P/B (x)		Div. yield		ROE	
		(LC)	Rtg			FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Ningbo-A	002142 CH	31.92	OW	38.80	31	6.7	6.0	0.86	0.77	4.2%	4.7%	13.5%	13.7%
CRCB-A	601077 CH	6.95	OW	8.30	11	6.1	5.6	0.54	0.50	4.9%	5.3%	9.2%	9.2%
Nanjing-A	601009 CH	11.26	OW	12.80	21	6.2	5.6	0.67	0.62	5.2%	5.7%	10.7%	10.8%
Shanghai-A	601229 CH	9.52	N	9.50	20	5.7	5.5	0.51	0.48	5.5%	5.6%	9.4%	9.0%
Hangzhou-A	600926 CH	16.63	N	15.60	18	5.9	5.4	0.81	0.72	4.2%	4.7%	14.3%	14.2%
Beijing-A	601169 CH	5.25	UW	4.40	16	6.2	5.9	0.38	0.36	4.8%	5.1%	6.3%	6.3%
CSRCB-A	601128 CH	7.27	UW	6.20	4	5.1	4.6	0.70	0.62	4.1%	4.6%	14.4%	14.3%
City/rural banks average						6.0	5.5	0.64	0.58	4.7%	5.1%	11.1%	11.1%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: Share prices as of 15 May 2026.

Key metrics in comparison

Table 2: YoY trends in key operating metrics for regional banks in 4Q25 and 1Q26

y/y change	NII		Net fees		Revenues		PPOP		Net profits		NIM	
	4Q25	1Q26	4Q25	1Q26	4Q25	1Q26	4Q25	1Q26	4Q25	1Q26	4Q25	1Q26
CRCB	11%	15%	-31%	4%	4%	8%	7%	13%	19%	5%	1.62%	1.69%
CSRCB	3%	6%	216%	41%	1%	7%	4%	11%	3%	11%	2.41%	2.50%
Ningbo	8%	14%	37%	82%	7%	10%	12%	15%	7%	10%	1.68%	1.73%
Nanjing	38%	39%	N.M	-15%	16%	14%	21%	18%	8%	8%	NA	NA
Shanghai	10%	5%	-4%	-17%	1%	4%	0%	5%	2%	1%	NA	NA
Beijing	2%	10%	-16%	2%	-10%	14%	-20%	24%	-118%	6%	NA	NA
Hangzhou	21%	21%	15%	-11%	0%	4%	-5%	6%	1%	10%	NA	NA
Average	13%	16%	36%	12%	3%	9%	3%	13%	-11%	7%	1.90%	1.97%
Average (excl. BoBJ)	16%	17%	66%	16%	5%	8%	6%	11%	4%	8%	1.90%	1.97%

Source: 4Q25 and 1Q26 Company reports of J.P. Morgan-covered regional banks. Note: Only CRCB, CSRCB and BoNB disclose quarterly NIM. Bank of Nanjing's 4Q25 fee trend is not meaningful, as it reported a Rmb0.9bn net fee loss in 4Q24.

Table 3: QoQ movement of asset quality and key B/S items in 4Q25 and 1Q26

	NPL ratio		SML ratio		NPL coverage		LLR		Loan growth		Deposit growth		Asset growth	
	4Q25	1Q26	4Q25	1Q26	4Q25	1Q26	4Q25	1Q26	4Q25	1Q26	4Q25	1Q26	4Q25	1Q26
CRCB	-4 bps	-1 bps	NA	NA	2 pcts	-2 pcts	18 bps	-43 bps	2%	4%	0%	8%	1%	6%
CSRCB	0 bps	-1 bps	NA	NA	-12 pcts	-13 pcts	-9 bps	-14 bps	0%	5%	-1%	5%	0%	4%
Ningbo	0 bps	0 bps	6 bps	-8 bps	-3 pcts	-4 pcts	-4 bps	3 bps	1%	9%	-1%	11%	1%	6%
Nanjing	0 bps	0 bps	10 bps	-11 bps	0 pcts	-7 pcts	1 bps	-7 bps	1%	8%	2%	9%	2%	6%
Shanghai	0 bps	0 bps	3 bps	1 bps	-10 pcts	-4 pcts	-14 bps	-2 bps	0%	3%	-4%	5%	0%	2%
Beijing	0 bps	3 bps	NA	NA	4 pcts	-2 pcts	6 bps	3 bps	1%	1%	2%	4%	1%	0%
Hangzhou	0 bps	0 bps	-1 bps	-5 bps	-11 pcts	-21 pcts	-8 bps	-16 bps	5%	8%	7%	5%	3%	3%
Average	-1 bps	0 bps	4 bps	-6 bps	-4 bps	-7 bps	-2 bps	-11 bps	1%	5%	1%	7%	1%	4%

Source: 4Q25 and 1Q26 Company reports of J.P. Morgan-covered regional banks.

Top picks and avoid

Performance diverged among regional banks, and we prefer names with clearer core earnings recoveries and lower EPS downside risks. CRBs' earnings recovery in 1Q26 was driven mainly by stronger NII growth and early signs of NIM stabilization, supported by decent "good start" loan demand/pricing and deposit cost savings. Fee growth was divergent, with BoNB taking the lead. However, bottom-line profit growth was capped by higher credit costs, while capital buffers and dividend visibility became more important differentiators. **Our top picks are BoNB and CRCB, while we avoid BoBJ.**

Top picks

- **BoNB remains our top pick among regional banks, supported by the cleanest 1Q26 beat and the most visible fee upside.** BoNB delivered a strong combination of core earnings recovery, fee acceleration, improving forward-looking AQ indicators and a positive dividend surprise. NII grew 14% y/y in 1Q26, supported by quality loan expansion and loan mix optimization, while fee income surged 82% y/y, significantly outperforming peers and highlighting its differentiated wealth management franchise. The bank also raised its cash dividend payout ratio to 28% in FY25 from 23% in FY24, a positive surprise to the market. Although CET1 remains a key investor concern, with the 1Q26 CET1 ratio at 9.25%, we believe BoNB's stronger earnings quality, wealth management upside and improving AQ trend should continue to support its premium valuation.
- **CRCB is our preferred recovery name, as its ROE recovery remains scarce among A-share banks and is not fully reflected in valuation, in our view.** CRCB's 1Q26 results showed a continued earnings recovery, with revenue and pretax profit up 8% and 12% y/y, respectively. We like CRCB for its improving earnings trend, relatively high capital buffer, the scarcity value of ROE recovery among A-share banks, and leverage to the growth of the Chengdu-Chongqing economic circle. The key pushback remains retail AQ, but we believe the valuation does not fully reflect the durability and quality of earnings recovery if credit costs remain manageable (please see our upgrade note [here](#) for details).

Top avoid

- **We avoid BoBJ, as rising AQ risks, limited earnings buffers and weak CET1 position imply downside risks to both EPS and DPS.** BoBJ reported a 4Q25 loss due mainly to one-off impairment charges on financial investment assets, but we do not expect earnings to rebound meaningfully despite the depressed FY25 base, as loan provisioning pressure may rise alongside worsening AQ trends. The NPL ratio rose 3bps q/q in 1Q26, credit cost increased 64bps y/y, to 0.98%, and the SML/overdue loan ratios deteriorated by 11bps/43bps h/h in 2H25. BoBJ also has the lowest NPL coverage ratio among our covered regional banks, at 198% in 1Q26, limiting its ability to smooth earnings through provision release. Meanwhile, its CET1 ratio was only 8.59%, just 84bps above the regulatory minimum, which may constrain loan growth and dividend sustainability. We believe this makes BoBJ less able to participate in a potential macro recovery and leaves both EPS and DPS vulnerable to downside risks.

Rating changes

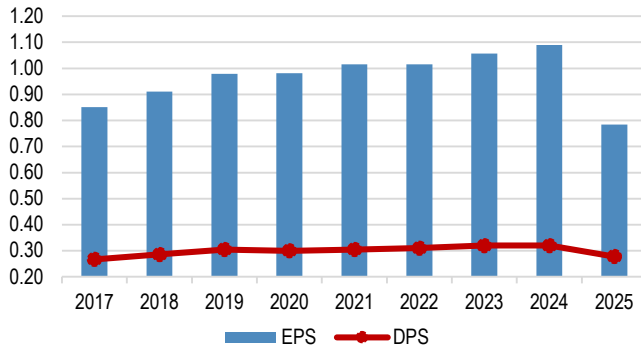
Downgrade BoBJ to UW from Neutral

We downgrade Bank of Beijing (BoBJ) to Underweight from Neutral with a Dec-26 PT of Rmb4.40 (16% potential downside) for the following reasons:

- **Weak earnings visibility with rising AQ risks, despite the low FY25 base.** BoBJ reported a loss in 4Q25, dragged mainly by one-off impairment charges on financial investment assets, leading to a 24% y/y contraction in FY25 profits. The one-off nature suggests the sharp 4Q25 provision spike is unlikely to repeat, but such an event shows a lapse in risk management, and we do not expect a meaningful rebound in FY26 profit growth. The underlying asset quality trend continues to weaken, as indicated by the deterioration in asset quality leading indicators, such as the 12bps/43bps h/h rise in the SML ratio/overdue loan ratio at end-2025 (Figure 3), the ongoing rise in the NPL ratio (+3bps q/q) and the sharp surge in credit cost (+35bps y/y) in 1Q26 (Figure 4), dragged on mainly by consumption, mortgage and property-related loans. We expect rising loan provisioning pressure and structurally higher normalized credit costs going forward. Therefore, despite the depressed FY25 base, we expect net profit growth to be moderate in 2026, at ~5% y/y. We expect BoBJ's credit cost to rise to 99bps (+23bps y/y) in 2026, but this remains below the 116bps average during the last AQ upcycle in 2015-20, suggesting downside risks to EPS if credit costs normalize closer to historical stress-cycle levels (Figure 5). Our sensitivity analysis shows that the drag on net profit for every further 5bps increase in credit cost would be ~4.4% in 2026E (Table 4).
- **Weaker earnings buffers than at peers.** BoBJ's NPL coverage ratio was 198% in 1Q26, the lowest among our covered regional banks (Figure 6), indicating weaker ability to cushion earnings growth with provision release. BoBJ's OCI reserve buffer is also limited. Its OCI reserve as a % of revenue was 2% in 2025 vs. peers' average of 5% (Figure 7).
- **Capital constraint may limit loan expansion and weaken leverage to a macro recovery.** BoBJ's CET1 ratio was only 8.59% in 1Q26, with only an 84bps buffer above the regulatory minimum requirement, the lowest among peers (Figure 2). Per the company, the bank plans to follow a "capital-constrained asset growth" approach ("以资本定资产"), suggesting loan growth is likely to remain subdued at low single digits in the absence of a clear external capital replenishment plan. 1Q26 loans grew only 1% q/q. We believe the weak capital position constrains BoBJ's future balance sheet expansion and reduces BoBJ's ability to benefit from a potential macro recovery cycle relative to peers with stronger capital flexibility.
- **Dividend yield becoming less attractive, with uncertain outlook.** BoBJ raised its payout ratio to 35% in FY25 partly to stabilize shareholder return amid earnings pressure, but we do not expect such a payout level to be sustainable, given its capital constraints. Assuming the payout ratio normalizes back to ~30% (it was around 30% in 2017-24) and FY26E EPS growth recovers modestly, at ~5%, we estimate the FY26E dividend yield at ~4.8%, with downside risk if earnings or capital pressure deteriorate. In our view, the combination of reduced

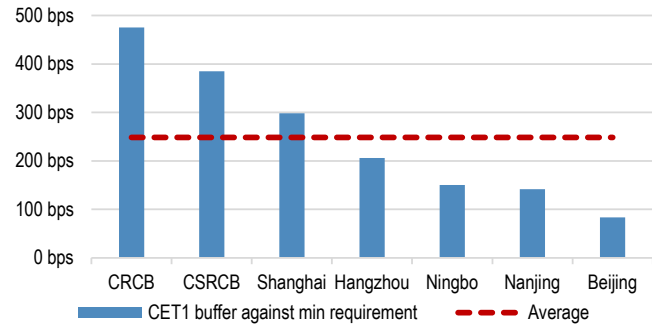
earnings visibility, constrained capital and lower buffer levels reduces the defensiveness of its dividend profile.

Figure 1: BoBJ's EPS and DPS both decreased in 2025



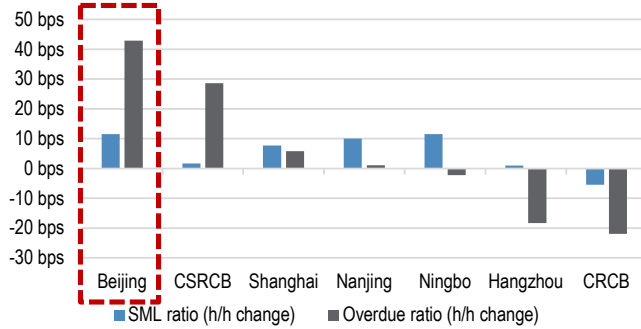
Source: 2017-2025 company reports of Bank of Beijing.

Figure 2: BoBJ has the lowest CET1 buffer against the minimum requirements in 1Q26



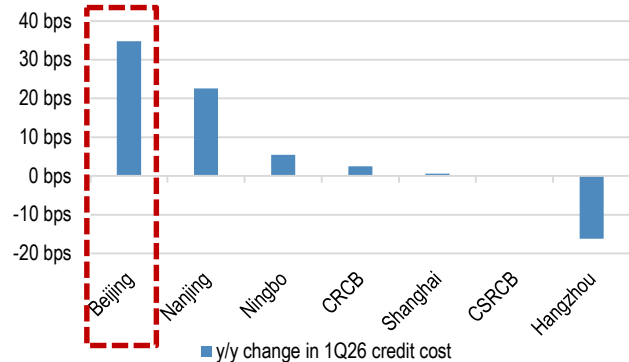
Source: 1Q26 company reports of J.P. Morgan-covered China regional banks.

Figure 3: BoBJ saw the highest h/h increase in SML ratio and overdue ratio among peers in 2H25



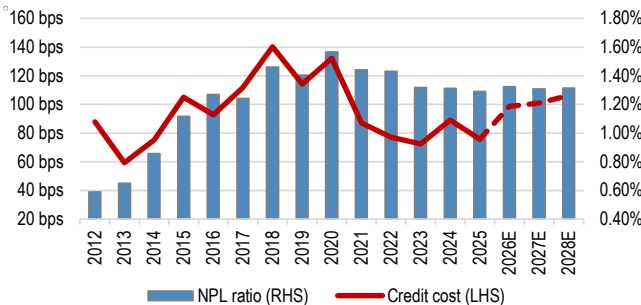
Source: 2025 company reports of J.P. Morgan-covered China regional banks.

Figure 4: BoBJ's credit cost picked up 35bps y/y in 1Q26, the highest among peers



Source: 1Q26 company reports of J.P. Morgan-covered China regional banks.

Figure 5: Average credit cost was 116bps in the past AQ upcycle (2015-20), and we expect credit cost to go up to 99bps in 2026



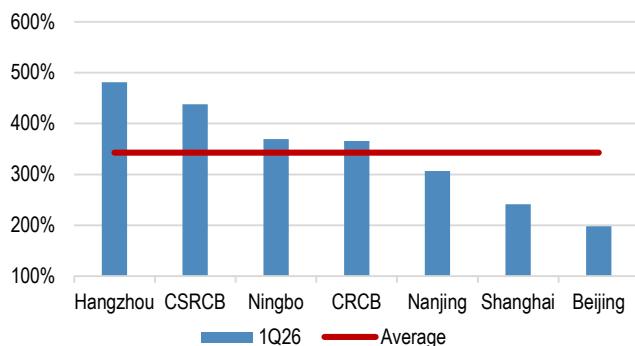
Source: 2012-2025 Bank of Beijing company reports, J.P Morgan estimates.

Table 4: Sensitivity analysis: If BoBJ's credit were to increase 5 bps in 2026, the impact on net profits would be ~-4.4%

	2026E	Note
JPM (Rmb mn)		
Average loans	2,448,110	a
Net profits	21,081	b
If credit cost increase 5 bps		
Increase in loan provision charge	1,224	c = 5bps*a
Impact on net profits	-4.4%	D = -c*(1-25%)/b

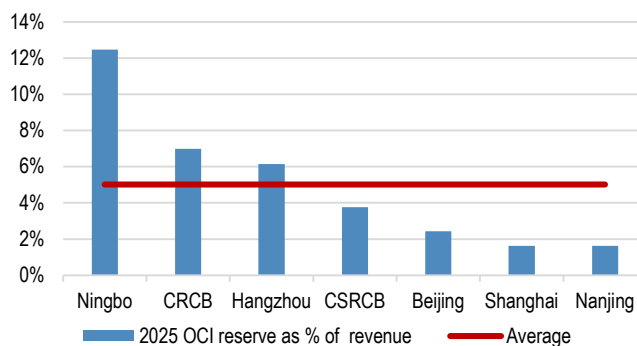
Source: J.P. Morgan estimates.

Figure 6: BoBJ had the lowest NPL coverage ratio among peers in 1Q26



Source: 1Q26 company reports of J.P. Morgan-covered China regional banks.

Figure 7: OCI reserve as a % of revenue in 2025: BoBJ's OCI buffer is lower than the peer average



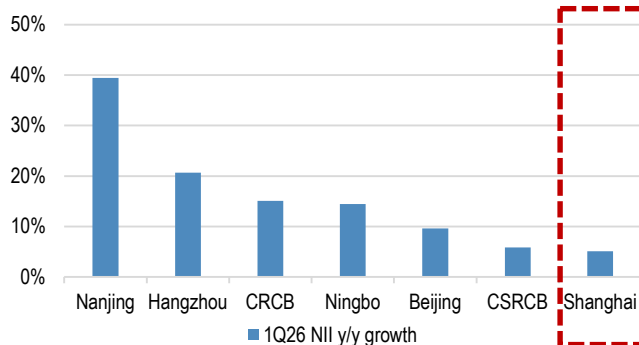
Source: 2025 company reports of J.P. Morgan-covered China regional banks.

Downgrade BoSH to Neutral from OW

We downgrade Bank of Shanghai to Neutral from OW with a new Dec-26 PT of Rmb9.50, implying a 0.5x 2026E P/B, for the following reasons.

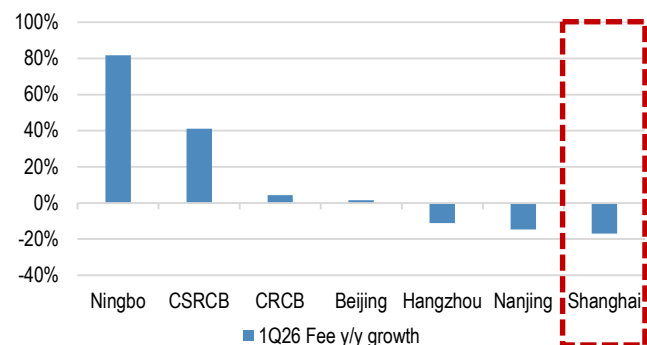
- Weakest core earnings trend among peers in 1Q26.** BoSH's NII recovery in 1Q26 of 5% y/y (vs. covered CRB peers' average of 16% y/y) was the weakest among peers (Figure 8). BoSH continues to see fee contraction of 17% y/y, ranking at the bottom among peers (Figure 9). Seventy-four percent of BoSH's fee income is contributed by corporate business. Thus, the bank is less leveraged to the ongoing recovery in WM business and capital-market-related fee income.
- Loan growth remains subdued, with deterioration in loan mix.** Loan growth was subdued in 2025, at 2% y/y, lagging the peer average of 11% y/y and system loan growth of 6% y/y. The loan mix also deteriorated, with corporate loan growth flat y/y while lower-yield discounting bills grew 32% y/y, weighing on asset pricing. Management guided improvements in loan growth of 4% y/y in 2026, and we note marginal improvement in 1Q26, with overall loans picking up 3% q/q, though this is still below the peer average of 5% q/q (Figure 10).
- Dividend yield remains attractive, providing a defensive valuation from current levels.** According to the company, BoSH aim to deliver stable low-single-digit EPS growth and maintain a payout ratio of c30% in 2026-28. We forecast its 2026 dividend yield at 5.5%, higher than at Big 4 banks (average 4.1%), making its valuation defensive from current levels (Figure 11).

Figure 8: BoSH's NII recovery was the weakest among peers'



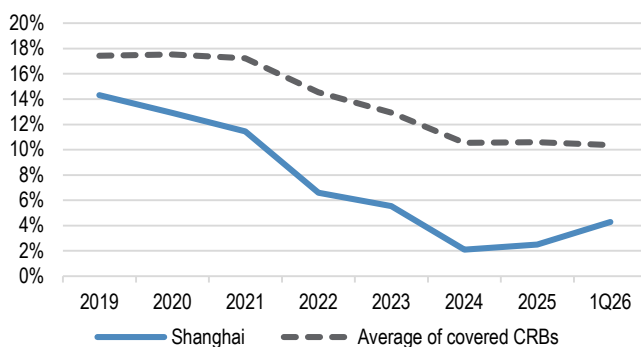
Source: 1Q26 company reports of J.P. Morgan-covered China regional banks.

Figure 9: BoSH's fee income continued a contraction trend in 1Q26



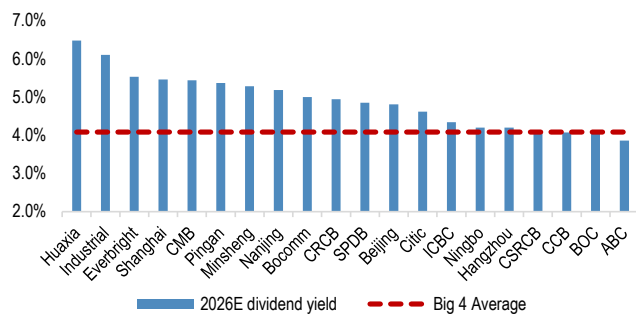
Source: 1Q26 company reports of J.P. Morgan-covered China regional banks.

Figure 10: BoSH's loan growth was weaker than peers', but improved marginally in 1Q26



Source: 2019-1Q26 company reports of J.P. Morgan-covered China regional banks.

Figure 11: BoSH's 2026E dividend yield remains attractive, at 5.5% (vs. Big 4 banks' average of 4.1% in A-shares).



Source: Bloomberg Finance L.P. as of 15 May 2026, J.P. Morgan estimates.

4Q25-1Q26 result reviews

Core earnings recovery: NII improved further, fee divergence widened

- **Core earnings recovery continued in 1Q26, supported mainly by stronger NII growth.** CRBs' average NII growth accelerated to 16% y/y in 1Q26 from 13% y/y in 4Q25, underpinned by faster loan expansion and lagged benefits from deposit cost cuts. The NII recovery was broad-based, with BoNJ, BoHZ, CRCB and BoNB reporting double-digit growth. Only three banks reported quarterly NIM, all of which show strong q/q rebounds in 1Q26. Banks generally commented that the re-pricing of high-cost time deposits continued to create room for NIM stabilization despite the sector-wide asset yield pressure. Banks guided that the magnitude of NIM contraction should narrow in 2026 vs. 2025 (-10bps on average), supporting a more resilient NII trend.
- **Fee income showed clear divergence, with BoNB standing out.** CRBs' average fee income grew 12% y/y in 1Q26 (vs. +9% y/y in 4Q25), but the recovery was uneven. BoNB's fee income increased 82% y/y in 1Q26, accelerating from 37% y/y in 4Q25, highlighting its differentiated wealth management franchise and its higher beta to improving capital market sentiment. By contrast, BoSH, BoNJ and BoHZ reported fee contraction of -17%/-15%/-11% y/y, suggesting that fee recovery is not yet broad-based across regional banks. CSRCB's fee income increased 41% y/y, but from a low base.
- **Non-fee income remained the key drag in 1Q26, although the magnitude of contraction narrowed.** CRBs' non-fee income contracted 8% y/y on average in 1Q26 vs. -32% y/y in 4Q25. The trend remained mixed by bank. BoBJ was the main positive outlier, with non-fee income up 40% y/y, helping drive its 1Q revenue recovery after the 4Q loss. In contrast, BoHZ, CRCB and BoNB all reported contractions of over 20% y/y in 1Q26. In our view, the revenue recovery is increasingly NII-led, while non-fee remains volatile and less reliable as an earnings driver.
- **PPOP growth continued to recover in 1Q26, driven by stronger revenue growth and broadly disciplined opex control, although higher credit costs capped the translation into bottom-line earnings growth.** CRBs' average PPOP growth accelerated to 13% y/y in 1Q26 from 3% y/y in 4Q25. Sector opex declined 3% y/y on average in 1Q26 vs. +4% y/y in 4Q25. However, stronger PPOP growth did not fully translate into earnings acceleration, as credit costs moved higher across several banks. CRBs' average net profit growth was 7% y/y in 1Q26, below the pace of PPOP growth, due mainly to rising provisioning pressure. This trend was particularly visible at BoNJ and BoBJ, where a stronger revenue recovery was partly offset by higher LLP charges and credit costs in 1Q26.

Table 5: Key P&L items of regional banks

y/y growth	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	Q/Q	Y/Y
NII								
CRCB	4%	5%	7%	9%	11%	15%	4 pcts	10 pcts
CSRCB	12%	1%	1%	5%	3%	6%	3 pcts	5 pcts
Ningbo	18%	12%	11%	13%	8%	14%	7 pcts	3 pcts
Nanjing	26%	18%	27%	41%	38%	39%	1 pcts	22 pcts
Shanghai	-5%	5%	-1%	-2%	10%	5%	-5 pcts	0 pcts
Beijing	4%	-1%	4%	3%	2%	10%	8 pcts	11 pcts
Hangzhou	6%	7%	12%	11%	21%	21%	-1 pcts	14 pcts
Simple average	9%	7%	9%	11%	13%	16%	3 pcts	9 pcts
Fee income								
CRCB	-11%	-3%	-27%	-25%	-31%	4%	35 pcts	7 pcts
CSRCB	29%	495%	869%	250%	216%	41%	-175 pcts	-454 pcts
Ningbo	131%	-1%	10%	94%	37%	82%	45 pcts	83 pcts
Nanjing	-285%	18%	-8%	14%	-153%	-15%	138 pcts	-33 pcts
Shanghai	-15%	-8%	-3%	-9%	-4%	-17%	-13 pcts	-9 pcts
Beijing	68%	24%	15%	7%	-16%	2%	18 pcts	-23 pcts
Hangzhou	-8%	22%	-3%	17%	15%	-11%	-26 pcts	-33 pcts
Simple average	-13%	78%	122%	50%	9%	12%	3 pcts	-66 pcts
Non-fee income								
CRCB	394%	-17%	-18%	-37%	-44%	-32%	12 pcts	-16 pcts
CSRCB	-16%	49%	41%	-22%	-27%	6%	33 pcts	-43 pcts
Ningbo	-30%	-7%	9%	-35%	-9%	-26%	-18 pcts	-19 pcts
Nanjing	65%	-11%	-3%	-38%	-39%	-19%	20 pcts	-8 pcts
Shanghai	114%	6%	18%	20%	-10%	8%	18 pcts	2 pcts
Beijing	13%	-18%	7%	-53%	-47%	40%	87 pcts	58 pcts
Hangzhou	229%	-18%	-5%	-60%	-48%	-37%	11 pcts	-19 pcts
Simple average	110%	-2%	7%	-32%	-32%	-8%	23 pcts	-6 pcts
Operating income								
CRCB	11%	1%	0%	1%	4%	8%	5 pcts	7 pcts
CSRCB	8%	10%	10%	4%	1%	7%	6 pcts	-3 pcts
Ningbo	11%	6%	10%	9%	7%	10%	3 pcts	5 pcts
Nanjing	24%	7%	11%	9%	16%	14%	-2 pcts	7 pcts
Shanghai	19%	4%	5%	4%	1%	4%	3 pcts	0 pcts
Beijing	8%	-3%	5%	-6%	-10%	14%	24 pcts	18 pcts
Hangzhou	30%	2%	6%	-4%	0%	4%	4 pcts	2 pcts
Simple average	16%	4%	7%	3%	3%	9%	6 pcts	5 pcts
Opex								
CRCB	19%	-5%	13%	-5%	0%	-4%	-4 pcts	1 pcts
CSRCB	53%	8%	8%	1%	-2%	-2%	1 pcts	-10 pcts
Ningbo	4%	-3%	3%	-2%	0%	-2%	-2 pcts	1 pcts
Nanjing	5%	7%	6%	-11%	9%	0%	-9 pcts	-7 pcts
Shanghai	-2%	-3%	2%	0%	6%	3%	-4 pcts	6 pcts
Beijing	12%	-6%	14%	-4%	9%	-11%	-20 pcts	-5 pcts
Hangzhou	22%	1%	3%	-1%	10%	-2%	-12 pcts	-3 pcts
Simple average	16%	0%	7%	-3%	4%	-3%	-7 pcts	-2 pcts
PPOP								
CRCB	5%	4%	-5%	4%	7%	13%	5 pcts	9 pcts
CSRCB	-11%	11%	11%	6%	4%	11%	8 pcts	0 pcts
Ningbo	16%	10%	14%	15%	12%	15%	3 pcts	6 pcts
Nanjing	40%	6%	13%	16%	21%	18%	-2 pcts	12 pcts
Shanghai	29%	6%	5%	5%	0%	5%	5 pcts	-1 pcts
Beijing	6%	-2%	2%	-7%	-20%	24%	44 pcts	26 pcts
Hangzhou	36%	3%	7%	-6%	-5%	6%	12 pcts	4 pcts
Simple average	17%	5%	7%	5%	3%	13%	11 pcts	8 pcts
Net profit								
CRCB	27%	6%	3%	2%	19%	5%	-14 pcts	-1 pcts
CSRCB	10%	14%	13%	12%	3%	11%	8 pcts	-3 pcts
Ningbo	4%	6%	11%	9%	7%	10%	3 pcts	5 pcts
Nanjing	9%	7%	11%	6%	8%	8%	0 pcts	1 pcts
Shanghai	15%	2%	2%	5%	2%	1%	-2 pcts	-2 pcts
Beijing	-1%	-2%	5%	-2%	-118%	6%	124 pcts	8 pcts
Hangzhou	16%	17%	16%	9%	1%	10%	9 pcts	-7 pcts
Simple average	11%	7%	9%	6%	-11%	7%	18 pcts	0 pcts

Source: 4Q24-1Q26 company reports of J.P. Morgan-covered China regional banks.

Table 6: CRB NIM annual and semi-annual

NIM	2023	2024	2025	YoY	2H23	1H24	2H24	1H25	2H25	HoH	YoY
CRCB	1.73%	1.61%	1.60%	-1 bps	1.67%	1.63%	1.59%	1.60%	1.59%	0 bps	0 bps
CSRCB	2.86%	2.71%	2.53%	-18 bps	2.72%	2.79%	2.63%	2.58%	2.48%	-10 bps	-15 bps
Ningbo	1.88%	1.86%	1.74%	-12 bps	1.83%	1.87%	1.85%	1.76%	1.72%	-4 bps	-13 bps
Nanjing	2.04%	1.94%	1.82%	-12 bps	1.89%	1.96%	1.92%	1.86%	1.78%	-8 bps	-14 bps
Shanghai	1.34%	1.17%	1.16%	-1 bps	1.28%	1.19%	1.14%	1.15%	1.16%	1 bps	1 bps
Beijing	1.54%	1.47%	1.27%	-20 bps	1.54%	1.54%	1.47%	1.47%	1.31%	-16 bps	-16 bps
Hangzhou	1.50%	1.41%	1.36%	-6 bps	1.45%	1.42%	1.40%	1.35%	1.37%	1 bps	-4 bps
CRB average	1.84%	1.74%	1.64%	-10 bps	1.77%	1.77%	1.72%	1.68%	1.63%	-5 bps	-9 bps

Source: 2H23-2H25 company reports of J.P. Morgan-covered China regional banks.

Table 7: CRB quarterly NIM

NIM (quarterly)	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	QoQ	YoY
CRCB	1.61%	1.61%	1.59%	1.57%	1.62%	1.69%	7 bps	8 bps
CSRCB	2.59%	2.61%	2.55%	2.55%	2.41%	2.50%	9 bps	-11 bps
Ningbo	1.89%	1.80%	1.72%	1.76%	1.68%	1.73%	5 bps	-7 bps

Source: 4Q24-1Q26 company reports of J.P. Morgan-covered China regional banks. Note: CRCB, CSRCB and Ningbo disclose quarterly NIM.

Table 8: Loan yield and deposit cost comparison

	Loan yield			Deposit yield			Loan-deposit spread		
	2024	2025	YoY	2024	2025	YoY	2024	2025	YoY
CRCB	3.92%	3.64%	-29 bps	1.73%	1.45%	-28 bps	2.19%	2.18%	-1 bps
CSRCB	5.63%	5.18%	-45 bps	2.20%	1.88%	-33 bps	3.43%	3.30%	-12 bps
Ningbo	4.84%	4.23%	-61 bps	1.94%	1.61%	-33 bps	2.90%	2.63%	-27 bps
Nanjing	4.80%	4.48%	-33 bps	2.34%	2.04%	-30 bps	2.46%	2.44%	-3 bps
Shanghai	3.76%	3.19%	-57 bps	1.92%	1.52%	-40 bps	1.84%	1.67%	-17 bps
Beijing	3.94%	3.33%	-61 bps	1.85%	1.52%	-33 bps	2.09%	1.80%	-29 bps
Hangzhou	4.25%	3.65%	-59 bps	2.04%	1.67%	-37 bps	2.21%	1.98%	-23 bps
CRB average	4.45%	3.96%	-49 bps	2.00%	1.67%	-33 bps	2.45%	2.29%	-16 bps

Source: 2024-25 company reports of J.P. Morgan-covered China regional banks.

Steady balance sheet expansion, with corporate lending the key driver

- **CRBs delivered a solid “good start” in 1Q26, with loan growth accelerating, while deposit growth remained even stronger.** On average, CRBs’ loans grew 5.4% q/q in 1Q26 (vs. SOE banks’ average of +4.4% q/q), while deposits increased 7% q/q, indicating continued strong balance sheet expansion momentum.
- **Corporate lending remained the main growth driver, while retail loan demand remained relatively weak.** Corporate loan growth outpaced retail across regional banks in 2025, and this trend extended into 1Q26. Retail loan growth remained soft, particularly in mortgage and personal business loans. The ongoing corporate tilt in loan mix is supportive of near-term loan growth and better AQ, but may also imply lower yields and continued pressure on asset-side pricing.
- **Deposit growth averaged a strong 7% q/q in 1Q25 for CRBs.** Solid deposit growth was due to CRB’s stronger local deposit franchise in its main operating regions than at larger banks. BoNB saw the highest increase in CASA ratio (demand deposit/deposits) in 2025 (Figure 12) thanks to its comprehensive ecosystem for corporate clients, which helps retain low-cost demand deposits.

Table 9: Key B/S items

Rmb mn	4Q24	1Q25	2Q25	3Q25	4Q25	Q/Q	Y/Y	1Q26	Q/Q	Y/Y
Assets										
CRCB	1,514,942	1,610,334	1,630,131	1,655,810	1,665,744	1%	10%	1,766,322	6%	10%
CSRCB	366,582	389,015	401,227	402,230	403,079	0%	10%	419,435	4%	8%
Ningbo	3,125,232	3,396,035	3,470,332	3,578,396	3,628,671	1%	16%	3,859,225	6%	14%
Nanjing	2,591,400	2,765,238	2,901,438	2,962,308	3,021,820	2%	17%	3,206,885	6%	16%
Shanghai	3,226,656	3,270,765	3,293,714	3,308,002	3,308,752	0%	3%	3,378,607	2%	3%
Beijing	4,219,186	4,469,422	4,747,819	4,892,227	4,938,273	1%	17%	4,947,091	0%	11%
Hangzhou	2,112,356	2,222,216	2,235,595	2,295,424	2,362,806	3%	12%	2,435,673	3%	10%
CRB average						1%	12%		4%	10%
RWA										
CRCB	888,053	974,465	989,717	1,016,360	1,034,811	2%	17%	1,116,779	8%	15%
CSRCB	265,162	283,424	287,525	282,123	278,796	-1%	5%	296,971	7%	5%
Ningbo	2,089,099	2,226,559	2,252,588	2,333,371	2,348,530	1%	12%	2,479,750	6%	11%
Nanjing	1,705,427	1,841,582	1,878,053	1,918,703	1,950,592	2%	14%	2,065,046	6%	12%
Shanghai	2,227,204	2,255,396	2,246,696	2,269,013	2,297,432	1%	3%	2,344,846	2%	4%
Beijing	2,911,405	3,048,268	3,092,234	3,152,500	3,094,915	-2%	6%	3,120,163	1%	2%
Hangzhou	1,227,968	1,283,072	1,336,479	1,376,096	1,384,818	1%	13%	1,460,711	5%	14%
CRB average						0%	10%		5%	9%
Loans										
CRCB	714,273	744,444	765,245	777,973	797,287	2%	12%	830,095	4%	12%
CSRCB	240,862	249,643	251,471	256,764	256,195	0%	6%	269,373	5%	8%
Ningbo	1,476,063	1,640,169	1,673,213	1,716,823	1,733,314	1%	17%	1,897,045	9%	16%
Nanjing	1,256,398	1,346,120	1,387,173	1,411,481	1,424,356	1%	13%	1,534,561	8%	14%
Shanghai	1,405,756	1,423,750	1,436,984	1,441,646	1,440,810	0%	2%	1,484,606	3%	4%
Beijing	2,209,975	2,345,862	2,390,856	2,373,046	2,399,755	1%	9%	2,425,798	1%	3%
Hangzhou	937,499	995,196	1,009,418	1,025,573	1,071,876	5%	14%	1,153,068	8%	16%
CRB average						1%	11%		5%	10%
Deposits										
CRCB	941,946	1,035,773	1,025,195	1,027,092	1,028,728	0%	9%	1,107,905	8%	7%
CSRCB	294,965	316,692	319,001	320,892	317,345	-1%	8%	334,383	5%	6%
Ningbo	1,869,624	2,217,011	2,111,558	2,081,237	2,058,755	-1%	10%	2,276,163	11%	3%
Nanjing	1,527,641	1,691,182	1,680,551	1,677,037	1,709,148	2%	12%	1,868,310	9%	10%
Shanghai	1,740,585	1,790,423	1,808,251	1,829,609	1,757,869	-4%	1%	1,847,693	5%	3%
Beijing	2,483,575	2,634,024	2,689,442	2,672,417	2,731,729	2%	10%	2,842,498	4%	8%
Hangzhou	1,289,515	1,366,203	1,356,124	1,366,860	1,458,999	7%	13%	1,536,836	5%	12%
CRB average						1%	9%		7%	7%

Source: 4Q24-1Q26 company reports of J.P. Morgan-covered China regional banks.

Table 10: Retail and corporate loan growth by bank

	Corporate loans					Retail loans				
	2H24	1H25	2H25	HoH	YoY	2H24	1H25	2H25	HoH	YoY
CRCB	358,133	416,345	434,974	4%	21%	292,506	300,424	301,022	0%	3%
CSRCB	89,850	95,580	99,122	4%	10%	134,943	136,300	137,068	1%	2%
Ningbo	819,722	986,194	1,061,187	8%	29%	557,735	535,310	534,498	0%	-4%
Nanjing	877,261	986,313	1,026,947	4%	17%	320,194	331,949	335,067	1%	5%
Shanghai	858,041	874,060	859,030	-2%	0%	413,925	389,536	404,994	4%	-2%
Beijing	1,338,071	1,491,118	1,481,577	-1%	11%	725,255	738,581	718,879	-3%	-1%
Hangzhou	563,339	630,319	694,618	10%	23%	305,849	299,379	302,007	1%	-1%
CRB average				3%	15%				0%	-1%
SOE bank average				1%	10%				-1%	2%
JSB average				2%	10%				0%	-1%

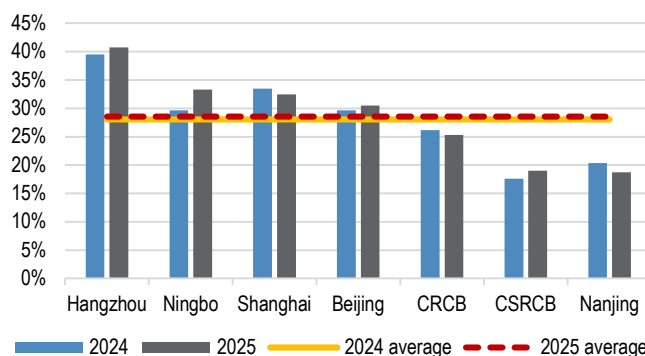
Source: 2H24-2H25 company reports of J.P. Morgan-covered China banks. SOE banks include ABC, BOC, CCB, ICBC, BoCom and PSCB. JSBs include PAB, CMB, Citic, MSB, Industrial, EB, SPDB and HXB). We use weighted averages.

Table 11: Retail loan growth by segment

	Retail loan growth y/y growth in 2025			as a % of total loans in 2025		
	Mortgage loans	Personal business loans	Personal consumption loans	Mortgage loans	Personal business loans	Personal consumption loans
CRCB	-1%	-4%	18%	11%	15%	12%
CSRCB	4%	1%	5%	5%	37%	11%
Ningbo	4%	-11%	-4%	6%	5%	20%
Nanjing	10%	-15%	3%	6%	1%	15%
Shanghai	2%	-21%	13%	11%	6%	8%
Beijing	2%	-4%	0%	14%	7%	14%
Hangzhou	2%	-4%	-1%	10%	12%	6%
Average	3%	-8%	5%	9%	12%	12%

Source: 2025 company reports of J.P. Morgan-covered China regional banks.

Figure 12: CASA ratio by bank



Source: 2024-2025 company reports of J.P. Morgan-covered China regional banks.

Asset quality: Retail risks remained the main point to watch

- **Headline asset quality remained broadly stable in 1Q26, with BoBJ the laggard.** CRBs' average NPL ratio remained flat q/q in 1Q26, while the average NPL coverage ratio declined 7ppts q/q, to 343%. The modest decline in coverage suggests banks are still using provision buffers to smooth earnings, although the absolute coverage level remains comfortable for most banks. BoBJ's AQ metrics were more alarming, with the 1Q26 NPL ratio up 3bps q/q and the lowest NPL coverage ratio among our covered regional banks.
- **Forward-looking indicators improved q/q in 1Q26, but need to be read together with the 2H25 deterioration.** For banks with disclosures, the average SML ratio declined 6bps q/q in 1Q26. BoNB was the clearest positive, with the SML ratio down 8bps q/q in 1Q26 and the NPL formation ratio down 1bp q/q. BoNJ also reported a flat q/q NPL ratio and an 11bps q/q decline in the SML ratio. However, the 2H25 semi-annual data still showed pressure in some names, especially BoBJ/CSRCB, where overdue ratios rose 43bps/29bps h/h.
- **Retail asset quality remains the key pressure point, while corporate AQ improved.** The average retail NPL ratio increased 7bps h/h in 2H25, while the average corporate NPL ratio declined 9bps h/h. By subsegment (Table 14-Table 15), banks in general saw higher AQ pressure from personal business. NPL ratios for mortgage loans increased 19bps h/h on average for our covered CRBs, while NPL ratios remained relatively low. CSRCB remains the name with the least clarity, given its high retail loan exposure and reduced disclosure of sector-level AQ in FY25.

Table 12: Key asset quality ratios

	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	Q/Q	Y/Y
NPL %								
CRCB	1.18%	1.17%	1.17%	1.12%	1.08%	1.07%	-1 bps	-11 bps
CSRCB	0.77%	0.76%	0.76%	0.76%	0.76%	0.75%	-1 bps	-1 bps
Ningbo	0.76%	0.76%	0.76%	0.76%	0.76%	0.76%	0 bps	0 bps
Nanjing	0.83%	0.83%	0.84%	0.83%	0.83%	0.83%	0 bps	0 bps
Shanghai	1.18%	1.18%	1.18%	1.18%	1.18%	1.18%	0 bps	0 bps
Beijing	1.31%	1.30%	1.30%	1.29%	1.29%	1.32%	3 bps	2 bps
Hangzhou	0.76%	0.76%	0.76%	0.76%	0.76%	0.76%	0 bps	-1 bps
Simple average	0.97%	0.97%	0.97%	0.96%	0.95%	0.95%	0 bps	-1 bps
NPL coverage ratio								
CRCB	363%	363%	356%	365%	367%	366%	-2 pcts	2 pcts
CSRCB	501%	490%	490%	463%	451%	438%	-13 pcts	-51 pcts
Ningbo	389%	371%	374%	376%	373%	369%	-4 pcts	-1 pcts
Nanjing	335%	324%	312%	313%	314%	307%	-7 pcts	-17 pcts
Shanghai	270%	271%	244%	255%	245%	241%	-4 pcts	-30 pcts
Beijing	208%	198%	196%	196%	200%	198%	-2 pcts	0 pcts
Hangzhou	541%	530%	521%	514%	502%	481%	-21 pcts	-49 pcts
Simple average	373%	364%	356%	354%	350%	343%	-7 pcts	-21 pcts
SML % *								
CSRCB	1.49%	NA	1.57%	NA	NA	NA	NA	NA
Ningbo	1.03%	1.00%	1.02%	1.08%	1.14%	1.06%	-8 bps	6 bps
Nanjing	1.20%	1.15%	1.06%	1.06%	1.16%	1.05%	-11 bps	-10 bps
Shanghai	2.06%	2.05%	2.04%	2.08%	2.11%	2.12%	1 bps	7 bps
Hangzhou	0.55%	0.54%	0.51%	0.53%	0.52%	0.47%	-5 bps	-7 bps
Simple average	1.27%	1.19%	1.24%	1.19%	1.23%	1.17%	-6 bps	-1 bps
LLR								
CRCB	4.28%	4.27%	4.16%	4.09%	3.96%	4.10%	14 bps	-17 bps
CSRCB	3.86%	3.72%	3.74%	3.52%	3.42%	3.29%	-14 bps	-43 bps
Ningbo	2.97%	2.82%	2.84%	2.86%	2.83%	2.81%	-2 bps	-1 bps
Nanjing	2.77%	2.68%	2.60%	2.60%	2.61%	2.54%	-6 bps	-14 bps
Shanghai	3.18%	3.20%	2.87%	3.00%	2.89%	2.84%	-5 bps	-35 bps
Beijing	2.73%	2.58%	2.54%	2.53%	2.58%	2.61%	3 bps	4 bps
Hangzhou	4.11%	4.04%	3.95%	3.89%	3.81%	3.64%	-16 bps	-40 bps
Simple average	3.42%	3.33%	3.24%	3.21%	3.16%	3.12%	-4 bps	-21 bps

Source: 4Q24-1Q26 company reports of J.P. Morgan-covered China regional banks. * CRCB and Bank of Beijing did not disclose quarterly SML ratios.

Table 13: Forward-looking AQ indicators

	1H23	2H23	1H24	2H24	1H25	2H25	HoH	YoY
SML ratio								
CRCB	1.14%	1.14%	1.41%	1.46%	1.48%	1.42%	-6 bps	-4 bps
CSRCB	0.83%	1.17%	1.36%	1.49%	1.57%	1.59%	2 bps	10 bps
Ningbo	0.55%	0.65%	1.02%	1.03%	1.02%	1.14%	12 bps	11 bps
Nanjing	0.85%	1.17%	1.07%	1.20%	1.06%	1.16%	10 bps	-5 bps
Shanghai	1.74%	2.07%	2.14%	2.06%	2.04%	2.11%	8 bps	5 bps
Beijing	1.50%	1.78%	1.87%	1.79%	1.50%	1.61%	12 bps	-18 bps
Hangzhou	0.44%	0.40%	0.53%	0.55%	0.51%	0.52%	1 bps	-3 bps
CRB average	1.01%	1.20%	1.34%	1.37%	1.31%	1.37%	5 bps	-1 bps
Overdue ratio								
CRCB	1.40%	1.42%	1.52%	1.32%	1.41%	1.19%	-22 bps	-14 bps
CSRCB	1.02%	1.23%	1.54%	1.43%	1.63%	1.92%	29 bps	49 bps
Ningbo	0.85%	0.93%	0.92%	0.95%	0.89%	0.86%	-2 bps	-8 bps
Nanjing	1.25%	1.31%	1.25%	1.27%	1.27%	1.28%	1 bps	1 bps
Shanghai	1.70%	1.71%	1.72%	1.73%	1.60%	1.65%	6 bps	-7 bps
Beijing	1.67%	1.72%	1.82%	1.62%	1.53%	1.96%	43 bps	34 bps
Hangzhou	0.59%	0.62%	0.70%	0.55%	0.61%	0.42%	-18 bps	-13 bps
CRB average	1.21%	1.28%	1.35%	1.27%	1.28%	1.33%	5 bps	6 bps
Coverage ratio over (NPL+SML)								
CRCB	180%	187%	164%	161%	156%	157%	1 pcts	-4 pcts
CSRCB	256%	206%	190%	167%	155%	146%	-9 pcts	-21 pcts
Ningbo	278%	244%	177%	163%	156%	146%	-10 pcts	-17 pcts
Nanjing	195%	157%	151%	137%	138%	131%	-6 pcts	-5 pcts
Shanghai	111%	96%	95%	97%	89%	87%	-2 pcts	-10 pcts
Beijing	100%	90%	84%	86%	90%	88%	-2 pcts	2 pcts
Hangzhou	361%	368%	320%	312%	310%	296%	-14 pcts	-16 pcts
CRB average	212%	193%	169%	160%	156%	150%	-6 pcts	-10 pcts
NPL/overdue loans								
CRCB	86%	84%	78%	89%	83%	91%	8 pcts	2 pcts
CSRCB	73%	61%	49%	54%	47%	40%	-7 pcts	-14 pcts
Ningbo	89%	81%	82%	80%	86%	88%	2 pcts	7 pcts
Nanjing	72%	69%	67%	65%	66%	65%	-1 pcts	0 pcts
Shanghai	72%	71%	70%	68%	74%	71%	-3 pcts	3 pcts
Beijing	80%	77%	72%	81%	85%	66%	-19 pcts	-15 pcts
Hangzhou	129%	121%	108%	137%	125%	179%	54 pcts	42 pcts
CRB average	86%	81%	75%	82%	81%	86%	5 pcts	3 pcts

Source: 1H23-2H25 company reports of J.P. Morgan-covered China regional banks.

Table 14: Retail and corporate asset quality by bank

	Corporate loans AQ					Retail loans AQ				
	2H24	1H25	2H25	HoH	YoY	2H24	1H25	2H25	HoH	YoY
CRCB	1.07%	1.04%	0.68%	-36 bps	-39 bps	1.60%	2.04%	2.07%	3 bps	46 bps
CSRCB	0.66%	0.65%	0.56%	-9 bps	-10 bps	0.94%	1.02%	1.02%	0 bps	8 bps
Ningbo	0.22%	0.20%	0.24%	3 bps	2 bps	1.68%	1.86%	1.94%	8 bps	26 bps
Nanjing	0.58%	0.66%	0.65%	-1 bps	7 bps	1.29%	1.43%	1.49%	6 bps	20 bps
Shanghai	1.40%	1.37%	1.36%	-1 bps	-4 bps	1.14%	1.30%	1.34%	4 bps	21 bps
Hangzhou	0.76%	0.75%	0.65%	-10 bps	-11 bps	0.77%	1.02%	1.21%	19 bps	44 bps
Average	0.78%	0.78%	0.69%	-9 bps	-9 bps	1.24%	1.44%	1.51%	7 bps	27 bps

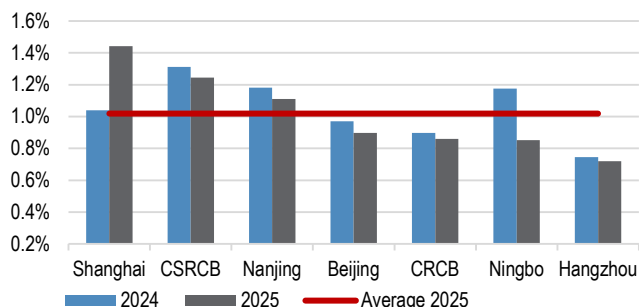
Source: 2H24-2H25 company reports of J.P. Morgan-covered China regional banks. Note: Bank of Beijing does not disclose retail and corporate AQ.

Table 15: Retail asset quality by bank

	Mortgage loans				Personal business loans				Personal consumption loans			
	2H24	1H25	2H25	HoH	2H24	1H25	2H25	HoH	2H24	1H25	2H25	HoH
CRCB	1.15%	1.33%	1.60%	27 bps	1.67%	2.46%	1.97%	-49 bps	2.00%	2.15%	2.61%	46 bps
CSRCB	0.38%	0.26%	NA	NA	0.95%	1.13%	NA	NA	0.86%	0.83%	NA	NA
Ningbo	0.63%	0.71%	0.89%	19 bps	2.97%	3.30%	3.45%	15 bps	1.61%	1.83%	1.85%	2 bps
Shanghai	0.45%	0.63%	0.69%	6 bps	1.56%	2.12%	2.39%	28 bps	1.45%	1.26%	1.25%	-1 bps
Hangzhou	0.29%	0.46%	0.71%	25 bps	0.93%	1.28%	1.52%	24 bps	1.20%	1.46%	1.45%	-1 bps

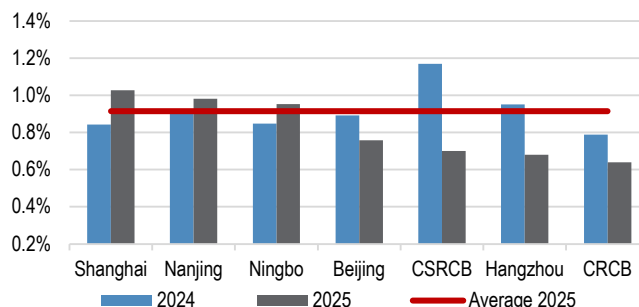
Source: 2H24-2H25 company reports of J.P. Morgan-covered China regional banks. Note: Bank of Beijing and Bank of Nanjing do not disclose retail AQ details.

Figure 13: Gross NPL formation by bank



Source: 2024-2025 annual company reports of J.P. Morgan-covered China regional banks.

Figure 14: Credit cost by bank

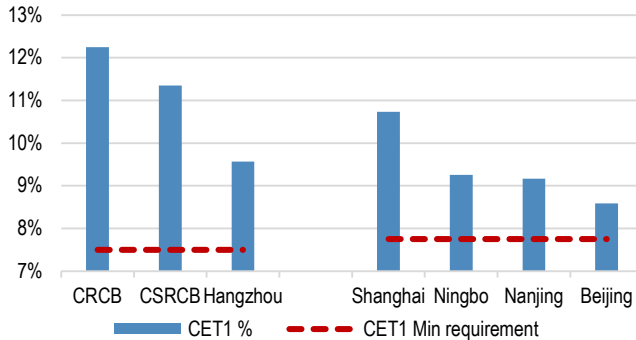


Source: 2024-2025 annual company reports of J.P. Morgan-covered China regional banks.

Thin capital level becoming a bigger constraint

- Capital ratios weakened in 1Q26, and city banks in general have low CET1 capital buffers.** CRBs' average CET1 ratio declined 10bps q/q in 1Q26, to 10.13%. BoBJ has the lowest capital buffer of 84bps against the minimum requirements among our covered regional banks, followed by BoNJ (142bps) and BoNB (150bps). The low capital buffer may limit room for balance sheet expansion or stable shareholder returns, especially for banks with weak profit generation.
- Dividend policies were generally supportive, but DPS outcomes differed.** BoNB delivered the biggest positive surprise, raising its cash dividend payout ratio from 23% in 2024 to 28% in 2025, with the implied 2026E dividend yield at around 4.2% if bank keeps the payout ratio at 28%. BoHZ also increased its payout ratio from 24.5% to 26.4%, and CSRCB raised its cash payout ratio to 21% (+1.5 pcts y/y), while also announcing a stock dividend. By contrast, BoBJ raised its payout ratio to 35%, but DPS still declined 13% y/y due to a 28% EPS decline in 2025, bringing its 2026E dividend yield down to 4.8%.
- BoNB's capital position is becoming a key investor concern despite strong fundamentals.** BoNB's CET1 ratio dropped to 9.25% in 1Q26, with a buffer of only ~150bps above the regulatory minimum, raising investor concerns about potential capital-raising, especially given its strong loan growth. As such, some investors are increasingly focused on whether BoNB may need to raise capital to sustain its above-peer loan growth trajectory. Management has indicated that capital pressure will be addressed mainly through internal accumulation and structural optimization. In particular, the bank plans to: (1) rely more on retained earnings and further develop capital-light businesses; and (2) promote migration to the IRB approach over the medium to long term to improve RWA efficiency. That said, we do not rule out the possibility of external capital-raising. Based on past capital-raising events, BoNB's share price often underperforms initially following announcement, but generally outperforms the CSI Banks Index over a one-month period thereafter (Table 17).

Figure 15: 1Q26 CET1 ratio by bank



Source: 1Q26 company reports of J.P. Morgan-covered China regional banks. Note: The minimum capital requirement is 7.5% for CRCB, CSRCB and BoHZ, and 7.75% for the remainder.

Table 16: Capital ratios by bank

	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	Q/Q	Y/Y
CET1 %								
CRCB	14.24%	13.16%	13.30%	12.98%	12.67%	12.25%	-42 bps	-91 bps
CSRCB	11.18%	10.78%	10.73%	11.14%	11.60%	11.35%	-25 bps	57 bps
Ningbo	9.84%	9.32%	9.65%	9.21%	9.34%	9.25%	-9 bps	-7 bps
Nanjing	9.36%	8.89%	9.47%	9.54%	9.35%	9.17%	-18 bps	28 bps
Shanghai	10.35%	10.54%	10.78%	10.52%	10.65%	10.73%	8 bps	19 bps
Beijing	8.95%	8.64%	8.59%	8.44%	8.37%	8.59%	22 bps	-6 bps
Hangzhou	8.85%	9.01%	9.74%	9.64%	9.59%	9.56%	-3 bps	56 bps
CRB average	10.39%	10.05%	10.32%	10.21%	10.22%	10.13%	-10 bps	8 bps
Tier-1 %								
CRCB	14.93%	13.79%	13.93%	13.59%	13.27%	12.81%	-46 bps	-98 bps
CSRCB	11.24%	10.83%	10.78%	11.19%	11.65%	11.40%	-25 bps	57 bps
Ningbo	11.03%	10.44%	10.75%	10.70%	10.40%	10.26%	-14 bps	-18 bps
Nanjing	11.12%	10.52%	11.07%	11.11%	10.64%	10.39%	-25 bps	-13 bps
Shanghai	11.24%	11.42%	11.67%	11.40%	11.09%	11.16%	7 bps	-26 bps
Beijing	11.97%	11.53%	12.08%	11.87%	11.70%	11.89%	19 bps	36 bps
Hangzhou	11.05%	11.34%	11.98%	11.82%	11.76%	11.62%	-14 bps	27 bps
CRB average	11.80%	11.41%	11.75%	11.67%	11.50%	11.36%	-14 bps	-5 bps
CAR %								
CRCB	16.12%	14.97%	15.11%	14.77%	14.46%	14.00%	-46 bps	-97 bps
CSRCB	14.19%	13.67%	13.60%	13.66%	12.89%	12.64%	-25 bps	-103 bps
Ningbo	15.32%	14.94%	15.21%	14.62%	14.30%	14.02%	-29 bps	-92 bps
Nanjing	13.72%	13.02%	13.63%	13.64%	13.15%	12.83%	-32 bps	-19 bps
Shanghai	14.21%	14.37%	14.62%	14.33%	14.00%	14.02%	2 bps	-35 bps
Beijing	13.06%	12.52%	13.06%	12.82%	12.88%	13.07%	18 bps	54 bps
Hangzhou	13.80%	14.05%	14.64%	14.43%	14.37%	14.14%	-23 bps	9 bps
CRB average	14.35%	13.93%	14.27%	14.04%	13.72%	13.53%	-19 bps	-40 bps

Source: 4Q24-1Q26 company reports of J.P. Morgan-covered China regional banks.

Table 17: Bank of Ningbo's capital-raising history and share price performance

Announcement date	Issuance date	Capital-raising	Capital raised (Rmb bn)	BoNB share price absolute performance (from announcement date)			BoNB share price vs. CSI Banks Index (from announcement date)		
				1 day	1 week	1 month	1 day	1 week	1 month
22-Jan-2021	19-Nov-2021	Share allotment	12	-0.4%	1.8%	14.2%	-0.6 pct	1.3 pct	6.2 pct
7-Dec-2018	12-May-2020	Private placement	8	-2.5%	-2.2%	-1.9%	-1.6 pct	-1.0 pct	2.4 pct
8-Mar-2016	1-Dec-2017	Convertible bond	10	-0.9%	-0.6%	2.4%	-1.4 pct	0.5 pct	1.7 pct
13-Jan-2014	30-Sep-2014	Private placement	3.1	-2.3%	-5.5%	-1.1%	-2.2 pct	-1.8 pct	0.3 pct
12-Oct-2009	22-Oct-2010	Private placement	4.4	1.9%	2.5%	3.9%	0.1 pct	-1.6 pct	-6.6 pct

Source: Bank of Ningbo company announcements, Wind, Bloomberg Financial L.P. Data as of 15 May 2026. Note: We calculate the share price reaction from the announcement date to analyze the market reaction. The table includes only capital-raising activities used for CET1 capital replenish.

▼ Underweight

Previous: Neutral

601169.SS, 601169.CH

Price (18 May 26): Rmb5.17

▼ Price Target (Dec-26): Rmb4.40

Prior (Dec-26): Rmb6.00

China

Banks & Financial Services

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SAC Registration Number: S1730524080002

J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.09	0.84	-22.7%
Adj. EPS - 27E (Rmb)	1.11	0.89	-19.6%

Half Yearly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
H1	0.63	0.67	0.70
H2	0.16	0.17	0.19
FY	0.78	0.84	0.89

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	9	6	12	10	11
Growth	73	74	77	39	81
Momentum	56	78	43	55	70
Quality	31	51	57	19	41
Low Vol	3	6	4	4	3
ESGQ	90	86	20	87	100

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Bank of Beijing - A

Downgrade to UW on disappointing EPS trend

We cut our FY26/27 profit estimates by 21%/20% after the disappointing FY25 results and introduce our FY28 forecast. As a result, our DDM-derived Dec-26 PT is cut 27%, to Rmb4.40. We downgrade BOBJ to UW on back of its capital stress, rising asset quality risks and increasing lack of visibility into the EPS trajectory.

Investment Thesis, Valuation and Risks

Bank of Beijing (Underweight; Price Target: Rmb4.40)

Investment Thesis

- Weak CET1 level. BoBJ's CET1 buffer was less than 100bps above the regulatory requirement (7.75%) in 1Q26. The low capital position may restrict its loan growth and threaten its dividend payout stability, in our view.
- Long-term weaker profitability, as evidenced by lower PPoP over average assets and lower RoRWA due to poorer risk-adjusted returns and a depressed loan-deposit ratio, is likely to be a drag on ROE.
- Higher asset quality risks due to surging NPL formation and weaker provision ratios will likely continue to weigh on earnings growth upside.

Valuation

Our Dec-26 PT of Rmb4.40 is based on DDM, assuming a cost of equity of 11.3%, a normalized ROE of 6.5% and a terminal date of 31 December 2028.

Risks to Rating and Price Target

Upside risks include better-than-expected NIM expansion, higher-than-expected loan and fee growth, and better-than-expected macro growth.

Downside catalysts include lower-than-expected fee growth, lower-than-expected NIM expansion and a deterioration in asset quality.

Price Performance



Company Data

Shares O/S (mn)	21,143
52-week range (Rmb)	7.30-5.17
Market cap (\$ mn)	16,045
Exchange rate	6.81
Free float (%)	73.9%
3M ADV (mn)	123.51
3M ADV (\$ mn)	97.9
Volatility (90 Day)	16
Index	SHASHR
BBG ANR (Buy Hold Sell)	10 4 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	52,875	58,174	61,797	66,670
Non interest income	15,161	15,487	15,550	15,920
Operating expenses	(22,034)	(23,217)	(24,133)	(25,449)
Adj. PPOP	46,002	50,444	53,213	57,140
Provision for loan losses	(17,446)	(24,147)	(25,706)	(28,290)
Adj. PBT	20,714	23,296	24,507	25,851
Adj. net income	16,576	17,800	18,900	20,122
Adj. EPS	0.78	0.84	0.89	0.95
BBG EPS	1.13	1.00	1.06	1.01
DPS	0.28	0.25	0.27	0.29
Loans	2,344,118	2,430,173	2,528,041	2,653,161
Deposits	2,731,729	2,896,999	3,101,527	3,385,006
Total Assets	4,938,273	5,407,186	5,947,450	6,593,642
Margins and Growth				
NIM	1.3%	1.2%	1.2%	1.2%
Ratios				
Loan/ Deposit ratio	85.8%	83.9%	81.5%	78.4%
NPL / Loans	1.3%	1.3%	1.3%	1.3%
Coverage	197.4%	200.7%	203.2%	208.7%
CET 1	8.4%	8.2%	8.0%	7.7%
Non-int. income/ Income	22.3%	21.0%	20.1%	19.3%
Cost/Income	32.4%	31.5%	31.2%	30.8%
LLP/Loans	(0.8%)	(1.0%)	(1.0%)	(1.1%)
ROA	0.4%	0.3%	0.3%	0.3%
ROE	4.5%	4.6%	4.7%	4.8%
Valuation				
Dividend yield	5.4%	4.9%	5.2%	5.5%
Adj. P/E	6.6	6.1	5.8	5.4
P/ BV	0.4	0.4	0.4	0.3

Summary Investment Thesis and Valuation

- Weak CET1 level. BoBJ's CET1 buffer was less than 100bps above the regulatory requirement (7.75%) in 1Q26. The low capital position may restrict its loan growth and threaten its dividend payout stability, in our view.
- Long-term weaker profitability, as evidenced by lower PPOP over average assets and lower RoRWA due to poorer risk-adjusted returns and a depressed loan-deposit ratio, is likely to be a drag on ROE.
- Higher asset quality risks due to surging NPL formation and weaker provision ratios will likely continue to weigh on earnings growth upside.

Our Dec-26 PT of Rmb4.40 is based on DDM, assuming a cost of equity of 11.3%, a normalized ROE of 6.5% and a terminal date of 31 December 2028.

Performance Drivers

Market	1%
Region	1%
Macro	19%
Style	34%
Idiosyn.	45%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.24	-0.07
Region: China	-0.17	-0.12
Macro:		
US 10 Year Yield	-0.38	-0.36
JP Morgan GBI-EM Global Div	0.29	0.28
JPM EM Currency(EMCI) Fixing	0.15	0.24
Quant Styles:		
LowVol	0.59	0.55
Value	0.53	0.49
DivYld	0.56	0.46

Bank of Beijing - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	123,675	120,735	124,908	129,868	138,031	Cash and cash equivalents	3,445	2,828	1,775	3,524	2,180
Interest expense	(71,765)	(67,860)	(66,734)	(68,071)	(71,361)	Deposits with banks	512,243	736,200	898,736	1,096,342	1,345,788
Net interest income	51,910	52,875	58,174	61,797	66,670	Net loans	2,156,982	2,344,118	2,430,173	2,528,041	2,653,161
Non interest income	18,510	15,161	15,487	15,550	15,920	PP&E	19,326	18,882	19,826	19,826	19,826
o/w Fee income	3,458	3,825	3,993	4,156	4,326	Net intangibles	1,036	1,028	1,133	1,250	1,378
o/w Trading income	14,936	11,219	11,300	11,200	11,400	LT investments	1,438,597	1,754,469	1,970,620	2,213,400	2,486,091
Net revenues	70,420	68,036	73,661	77,346	82,590	Other assets	4,195,379	4,915,535	5,384,451	5,922,850	6,570,258
Non interest expense	(21,314)	(22,034)	(23,217)	(24,133)	(25,449)	Total assets	4,219,186	4,938,273	5,407,186	5,947,450	6,593,642
o/w Employee costs	(9,881)	(10,079)	(10,180)	(11,766)	(13,719)	Interest earning assets	4,095,792	4,823,781	5,299,528	5,837,783	6,485,040
Pre-Prov. Profits	49,106	46,002	50,444	53,213	57,140	Deposits	2,483,575	2,731,729	2,896,999	3,101,527	3,385,006
Provisions	(20,103)	(25,250)	(27,147)	(28,706)	(31,290)	Borrowings	747,028	1,053,932	1,578,477	1,894,027	2,235,525
Adj. PBT	28,946	20,714	23,296	24,507	25,851	Other liabilities	780,904	918,753	679,516	699,887	709,215
Income taxes	(2,553)	(585)	(2,115)	(2,225)	(2,347)	Total liabilities	3,863,202	4,559,628	5,013,102	5,536,524	6,164,981
Minority interest	(59)	(43)	(100)	(100)	(100)	Shareholder equity	354,715	377,259	392,698	409,540	427,274
Adj. Net profit	23,051	16,576	17,800	18,900	20,122	Minority interests	1,269	1,386	1,386	1,386	1,386
PPOP per share	2.32	2.18	2.39	2.52	2.70	Total liabilities and Shareholder equity	4,219,186	4,938,273	5,407,186	5,947,450	6,593,642
Reported EPS	1.25	0.95	1.00	1.05	1.11	Interest bearing liabilities	3,630,442	4,335,269	4,788,424	5,291,474	5,910,604
Adj. EPS	1.09	0.78	0.84	0.89	0.95	Book Value Per Share	12.62	12.97	13.70	14.50	15.34
DPS	0.32	0.28	0.25	0.27	0.29	Tangible Book Value Per Share	16.73	17.79	18.52	19.31	20.14
Diluted shares outstanding	21,143	21,143	21,143	21,143	21,143						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	86.8%	85.8%	83.9%	81.5%	78.4%	Loan loss reserves/Loans	(2.7%)	(2.5%)	(2.7%)	(2.7%)	(2.7%)
Investment/Assets	34.1%	34.9%	36.0%	36.8%	37.5%	NPLs/Loans	1.3%	1.3%	1.3%	1.3%	1.3%
Loan/Assets	53.0%	50.3%	47.3%	44.9%	42.5%	Loan loss reserves/NPLs	207.0%	200.4%	199.1%	202.0%	206.0%
Customer deposits/Liabilities	64.3%	59.9%	57.8%	56.0%	54.9%	NPL y/y growth	9.1%	6.8%	6.7%	2.9%	5.5%
LT debt/Liabilities	4.5%	3.5%	3.0%	2.9%	2.8%	Tier 1 ratio	12.0%	11.7%	11.2%	10.8%	10.3%
						CAR	13.1%	12.9%	12.3%	11.8%	-
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.5%	1.3%	1.2%	1.2%	1.2%	Return on equity (ROE)	6.8%	4.5%	4.6%	4.7%	4.8%
Non interest income/Net revenue	26.3%	22.3%	21.0%	20.1%	19.3%	Return on assets (ROA)	0.6%	0.4%	0.3%	0.3%	0.3%
Non interest income/Avg. Assets	0.5%	0.3%	0.3%	0.3%	0.3%	Operating ROA	0.8%	0.6%	0.5%	0.5%	0.5%
Efficiency ratio	30.3%	32.4%	31.5%	31.2%	30.8%	Pre-Tax ROA	0.8%	0.6%	0.5%	0.5%	0.5%
Leverage ratio	8.8%	7.9%	7.3%	6.9%	6.6%	Pre-Provision ROA	1.2%	1.0%	1.0%	0.9%	0.9%
Revenue/Assets	1.8%	1.5%	1.4%	1.4%	1.3%	Tax rate	8.8%	2.8%	9.1%	9.1%	9.1%
RORWA	0.8%	0.6%	0.6%	0.5%	0.5%						
						Net loans y/y growth	9.8%	8.7%	3.7%	4.0%	4.9%
RWA	2,911,405	3,094,915	3,356,349	3,656,017	4,013,682	Assets y/y growth	12.6%	17.0%	9.5%	10.0%	10.9%
Avg. RWA	2,765,455	3,003,160	3,225,632	3,506,183	3,834,850	RWA y/y growth	11.1%	6.3%	8.4%	8.9%	9.8%
Avg. IEA	3,536,880	4,158,404	4,789,260	5,244,404	5,794,818	Deposits y/y growth	18.2%	10.0%	6.1%	7.1%	9.1%
Gross Loans	2,209,975	2,399,755	2,496,465	2,597,073	2,727,965	Net interest income y/y growth	3.1%	1.9%	10.0%	6.2%	7.9%
Avg. IBL	3,534,953	4,127,774	4,781,901	5,276,833	5,869,957	Revenues y/y growth	5.6%	(3.4%)	8.3%	5.0%	6.8%
LLR	(59,008)	(61,140)	(66,292)	(69,031)	(74,804)	Adj. EPS y/y growth	3.2%	(28.1%)	7.4%	6.2%	6.5%
NPLs	28,987	30,967	33,028	33,970	35,841	BVPS y/y growth	7.1%	2.8%	5.6%	5.8%	5.8%
P/BV (x)	0.4	0.4	0.4	0.4	0.3	IE assets/Assets	88.8%	90.8%	92.6%	92.4%	92.4%
Adj. P/E (x)	4.7	6.6	6.1	5.8	5.4	Margins (as % of Avg. Assets)	1.2%	1.1%	1.1%	1.0%	1.0%
Dividend yield	6.2%	5.4%	4.9%	5.2%	5.5%	LLP/Loans	(0.9%)	(0.8%)	(1.0%)	(1.0%)	(1.1%)
Dividend payout	25.7%	29.3%	25.3%	25.6%	25.8%	Equity/Assets	8.6%	8.0%	7.4%	7.1%	6.7%
						Cost/Assets	0.5%	0.5%	0.4%	0.4%	0.4%
						Assets/Equity	11.7	12.5	13.4	14.2	15.0

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Neutral

600926.SS, 600926.CH

Price (18 May 26): Rmb16.24

Price Target (Dec-26): Rmb15.60

China

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J.P. Morgan Securities (China) Company Limited

Half Yearly Forecasts (FYE Dec)

Net revenue (Rmb mn)	2025A	2026E	2027E
H1	20,093	21,455	23,163
H2	18,705	20,166	22,218
FY	38,799	41,622	45,381

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	11	7	7	19	42
Growth	61	59	54	33	37
Momentum	43	65	40	77	32
Quality	54	46	48	35	26
Low Vol	5	6	4	14	22
ESGQ	92	86	92	89	20

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Bank of Hangzhou - A

Model update

We actualize 2025 numbers and cut our FY26E/27E earnings by 5%/8%. In detail, we cut our fee income assumptions following the weaker-than-expected fee momentum in 1Q26, and adjust down our non-fee income forecast; this is partly offset by higher NIM and NII assumptions. We also introduce our FY28 forecast. In terms of valuation, we cut our long-term growth rate to 5% (from 5.5% previously) and trim the equity beta to 1.05 (from 1.1 previously). Our Dec-26 PT is unchanged, at Rmb15.60. Maintain Neutral.

Investment Thesis, Valuation and Risks

Bank of Hangzhou limited Company - A (Neutral; Price Target: Rmb15.60)

Investment Thesis

- BoHZ has achieved high-quality growth with solid asset quality. We believe BoHZ can maintain a higher-than-peers' ROE level due to the resilient local economy and low credit costs.
- The media (digital economy and culture) and technology innovation industries feature prominently in Hangzhou's local economy. By choosing to focus on SME clients in these sectors, BoHZ could build its own moat, based on its familiarity and understanding of local clients.
- BoHZ has strong relationships with local governments. We believe LGFV-related loans are more exposed to repricing risks, but we are comfortable with asset quality, given the solid health of the local economy in Zhejiang Province.
- We are Neutral on BoHZ because its shareholder returns are less attractive than peers', in our view. We forecast a FY26 dividend yield of 4.2%, ~40bps below our covered CRB peer average.

Valuation

Our Dec-26 PT of Rmb15.60 is based on a DDM, assuming a cost of equity of 12.8%, a normalized ROE of 10.0% and a terminal date of 31 December 2028.

Risks to Rating and Price Target

Downside risks include lower-than-expected fee growth, higher-than-expected NIM contraction, and a deterioration in asset quality.

Upside risks include NIM expansion, higher-than-expected loan and fee growth, and better-than-expected macro growth.

Price Performance



Company Data

Shares O/S (mn)	5,930
52-week range (Rmb)	17.85-14.93
Market cap (\$ mn)	14,137
Exchange rate	6.81
Free float (%)	53.7%
3M ADV (mn)	29.37
3M ADV (\$ mn)	72.6
Volatility (90 Day)	19
Index	SHASHR
BBG ANR (Buy Hold Sell)	24 2 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	27,592	31,358	34,580	38,685
Non interest income	11,207	10,264	10,801	11,068
Operating expenses	(12,076)	(12,882)	(13,934)	(15,130)
Adj. PPOP	26,723	28,740	31,447	34,623
Provision for loan losses	(7,324)	(6,829)	(7,063)	(7,255)
Adj. PBT	21,189	23,700	26,174	29,158
Adj. net income	18,101	20,261	22,456	25,099
Adj. EPS	2.50	2.63	2.92	3.26
BBG EPS	2.71	2.91	3.24	3.59
DPS	0.66	0.70	0.77	0.87
Loans	1,032,540	1,189,072	1,370,592	1,580,291
Deposits	1,458,999	1,623,866	1,824,414	2,049,729
Total Assets	2,362,806	2,647,835	2,974,906	3,340,452
Margins and Growth				
NIM	1.4%	1.3%	1.3%	1.3%
Ratios				
Loan/ Deposit ratio	70.8%	73.2%	75.1%	77.1%
NPL / Loans	0.8%	0.8%	0.8%	0.8%
Coverage	499.9%	461.2%	425.2%	386.0%
CET 1	9.6%	9.6%	9.6%	9.6%
Non-int. income/ Income	28.9%	24.7%	23.8%	22.2%
Cost/Income	31.1%	31.0%	30.7%	30.4%
LLP/Loans	(0.7%)	(0.6%)	(0.5%)	(0.5%)
ROA	0.8%	0.8%	0.8%	0.8%
ROE	12.1%	11.8%	11.9%	12.1%
Valuation				
Dividend yield	4.1%	4.3%	4.8%	5.3%
Adj. P/E	6.5	6.2	5.6	5.0
P/ BV	0.9	0.8	0.7	0.6

Summary Investment Thesis and Valuation

- BoHZ has achieved high-quality growth with solid asset quality. We believe BoHZ can maintain a higher-than-peers' ROE level due to the resilient local economy and low credit costs.
- The media (digital economy and culture) and technology innovation industries feature prominently in Hangzhou's local economy. By choosing to focus on SME clients in these sectors, BoHZ could build its own moat, based on its familiarity and understanding of local clients.
- BoHZ has strong relationships with local governments. We believe LGFV-related loans are more exposed to repricing risks, but we are comfortable with asset quality, given the solid health of the local economy in Zhejiang Province.
- We are Neutral on BoHZ because its shareholder returns are less attractive than peers', in our view. We forecast a FY26 dividend yield of 4.2%, ~40bps below our covered CRB peer average.

Our Dec-26 PT of Rmb15.60 is based on a DDM, assuming a cost of equity of 12.8%, a normalized ROE of 10.0% and a terminal date of 31 December 2028.

Performance Drivers

Market	0%
Region	0%
Macro	8%
Style	21%
Idiosyn.	71%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.05	0.03
Region: China	-0.06	-0.09
Macro:		
JP Morgan GBI-EM Global Div	0.41	0.26
JPM EM Currency(EMCI) Fixing	0.34	0.25
Citi Economic Surprise - EM	-0.09	0.18
Quant Styles:		
LowVol	0.45	0.43
DivYld	0.52	0.38
Value	0.48	0.36

Bank of Hangzhou - A: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	62,868	63,169	65,731	71,918	79,811	Cash and cash equivalents	790	754	832	3,334	1,444
Interest expense	(38,411)	(35,578)	(34,373)	(37,338)	(41,125)	Deposits with banks	200,976	257,065	277,834	302,287	329,362
Net interest income	24,457	27,592	31,358	34,580	38,685	Net loans	900,326	1,032,540	1,189,072	1,370,592	1,580,291
Non interest income	13,924	11,207	10,264	10,801	11,068	PP&E	3,514	3,363	3,708	4,088	4,507
o/w Fee income	3,720	4,207	4,084	4,421	4,788	Net intangibles	1,543	1,527	1,527	1,527	1,527
o/w Trading income	-	-	-	-	-	LT investments	971,218	1,032,994	1,138,876	1,255,611	1,384,311
Net revenues	38,381	38,799	41,622	45,381	49,754	Other assets	2,106,508	2,357,162	2,641,768	2,965,958	3,332,974
Non interest expense	(11,676)	(12,076)	(12,882)	(13,934)	(15,130)	Total assets	2,112,356	2,362,806	2,647,835	2,974,906	3,340,452
o/w Employee costs	(7,677)	(7,879)	(7,791)	(7,978)	(8,086)	Interest earning assets	2,070,192	2,319,948	2,605,783	2,928,490	3,293,964
Pre-Prov. Profits	26,706	26,723	28,740	31,447	34,623	Deposits	1,289,515	1,458,999	1,623,866	1,824,414	2,049,729
Provisions	(7,446)	(5,513)	(5,019)	(5,253)	(5,445)	Borrowings	325,033	358,249	458,072	561,696	676,187
Adj. PBT	19,226	21,189	23,700	26,174	29,158	Other liabilities	422,336	480,763	497,053	514,221	533,517
Income taxes	(2,244)	(2,159)	(2,743)	(3,022)	(3,363)	Total liabilities	1,976,308	2,199,617	2,468,474	2,777,458	3,122,823
Minority interest	-	-	-	-	-	Shareholder equity	136,048	163,189	179,361	197,448	217,629
Adj. Net profit	16,296	18,101	20,261	22,456	25,099	Minority interests	0	0	0	0	0
PPOP per share	4.49	3.93	3.96	4.34	4.78	Total liabilities and Shareholder equity	2,112,356	2,362,806	2,647,835	2,974,906	3,340,452
Reported EPS	2.28	2.50	2.63	2.92	3.26	Interest bearing liabilities	1,884,782	2,074,338	2,326,906	2,618,721	2,944,790
Adj. EPS	2.28	2.50	2.63	2.92	3.26	Book Value Per Share	17.81	18.37	20.60	23.10	25.88
DPS	0.65	0.66	0.70	0.77	0.87	Tangible Book Value Per Share	22.23	22.30	24.53	27.03	29.81
Diluted shares outstanding	7,142	7,249	7,698	7,698	7,698						
Balance Sheet Gearing						Asset Quality/Capital					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	69.8%	70.8%	73.2%	75.1%	77.1%	Loan loss reserves/Loans	(4.1%)	(3.8%)	(3.5%)	(3.2%)	(2.9%)
Investment/Assets	46.6%	44.8%	43.3%	42.6%	41.8%	NPLs/Loans	0.8%	0.8%	0.8%	0.8%	0.8%
Loan/Assets	44.1%	44.9%	46.0%	44.5%	45.6%	Loan loss reserves/NPLs	549.0%	517.9%	479.2%	442.0%	404.3%
Customer deposits/Liabilities	65.2%	66.3%	65.8%	65.7%	65.6%	NPL y/y growth	16.4%	14.2%	14.9%	15.2%	15.1%
LT debt/Liabilities	4.5%	3.8%	4.5%	4.4%	4.4%	Tier 1 ratio	11.0%	11.8%	11.6%	11.3%	11.1%
						CAR	13.8%	14.4%	13.9%	13.4%	13.0%
Ratio Analysis (%)						Ratio Analysis (%)					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.4%	1.4%	1.3%	1.3%	1.3%	Return on equity (ROE)	13.2%	12.1%	11.8%	11.9%	12.1%
Non interest income/Net revenue	36.3%	28.9%	24.7%	23.8%	22.2%	Return on assets (ROA)	0.8%	0.8%	0.8%	0.8%	0.8%
Non interest income/Avg. Assets	0.7%	0.5%	0.4%	0.4%	0.4%	Operating ROA	0.9%	0.9%	0.9%	0.9%	0.9%
Efficiency ratio	30.4%	31.1%	31.0%	30.7%	30.4%	Pre-Tax ROA	0.9%	0.9%	0.9%	0.9%	0.9%
Leverage ratio	6.9%	7.3%	7.2%	7.0%	6.9%	Pre-Provision ROA	1.4%	1.2%	1.1%	1.1%	1.1%
Revenue/Assets	1.9%	1.7%	1.7%	1.6%	1.6%	Tax rate	11.7%	10.2%	11.6%	11.5%	11.5%
RORWA	1.4%	1.4%	1.4%	1.4%	1.4%						
						Net loans y/y growth	16.3%	14.7%	15.2%	15.3%	15.3%
RWA	1,227,968	1,384,818	1,551,871	1,743,564	1,957,807	Assets y/y growth	14.7%	11.9%	12.1%	12.4%	12.3%
Avg. RWA	1,189,884	1,306,393	1,468,345	1,647,718	1,850,686	RWA y/y growth	6.6%	12.8%	12.1%	12.4%	12.3%
Avg. IEA	1,729,176	2,029,998	2,338,196	2,627,244	2,954,331	Deposits y/y growth	21.8%	13.1%	11.3%	12.4%	12.4%
Gross Loans	937,499	1,071,876	1,232,122	1,416,324	1,628,065	Net interest income y/y growth	4.4%	12.8%	13.6%	10.3%	11.9%
Avg. IBL	1,802,524	2,033,751	2,294,094	2,578,876	2,900,515	Revenues y/y growth	9.6%	1.1%	7.3%	9.0%	9.6%
LLR	(38,306)	(40,605)	(43,049)	(45,732)	(47,773)	Adj. EPS y/y growth	19.2%	9.4%	5.4%	10.8%	11.8%
NPLs	7,114	8,123	9,333	10,754	12,375	BVPS y/y growth	13.7%	3.1%	12.1%	12.1%	12.1%
P/BV (x)	0.9	0.9	0.8	0.7	0.6	IE assets/Assets	87.5%	90.7%	93.3%	88.3%	88.4%
Adj. P/E (x)	7.1	6.5	6.2	5.6	5.0	Margins (as % of Avg. Assets)	1.1%	1.1%	1.2%	1.1%	1.1%
Dividend yield	4.0%	4.1%	4.3%	4.8%	5.3%	LLP/Loans	(1.0%)	(0.7%)	(0.6%)	(0.5%)	(0.5%)
Dividend payout	28.5%	26.4%	26.5%	26.5%	26.5%	Equity/Assets	6.3%	6.7%	6.8%	6.3%	6.2%
						Cost/Assets	0.6%	0.5%	0.5%	0.5%	0.5%
						Assets/Equity	16.0	15.0	14.6	14.9	15.2

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Overweight

601009.SS,601009 CH

Price (18 May 26): Rmb11.00

▼ **Price Target (Dec-26): Rmb12.80**
Prior (Dec-26): Rmb13.40

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.68	1.77	5.4%
Adj. EPS - 27E (Rmb)	1.85	1.94	4.7%

Half Yearly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
H1	0.98	1.06	1.15
H2	0.70	0.75	0.83
FY	1.71	1.77	1.94

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	16	15	13	13	21
Growth	47	59	61	31	76
Momentum	42	69	45	78	58
Quality	17	38	45	20	35
Low Vol	4	5	2	8	8
ESGQ	91	93	88	96	98

Sources for: Style Exposure – J.P. Morgan Global Markets
Strategy; all other tables are company data and J.P. Morgan estimates.

Bank of Nanjing - A

Model update

We actualize 2025 numbers and cut our FY26E/27E earnings by 1.5%/2.2%. In detail, we cut our fee income assumptions following the weaker-than-expected fee momentum in 1Q26 and adjust up our credit cost forecasts; this is partly offset by higher NIM and NII assumptions. We also introduce our FY28 forecast. As a result, our Dec-26 PT is revised down 4.5%, to Rmb12.80. Maintain OW.

Investment Thesis, Valuation and Risks

Bank of Nanjing (Overweight; Price Target: Rmb12.80)

- Bank of Nanjing offers an attractive shareholder return, in our view, and the dividend payout ratio is guaranteed to be maintained above 30%. The CET1 position has been enhanced with CB conversion and improved internal capital generation capacity in 2025.
- BoNJ's revenue sensitivity to the bond market has abated, with FVPL as a % of total assets declining since 3Q24. In addition, BoNJ demonstrated strong investment capacity in past cycles.
- Credit risks remain a concern in the near term, with increasing retail NPL ratios in 2H25, while the headline AQ indicators remain largely stable.

Valuation

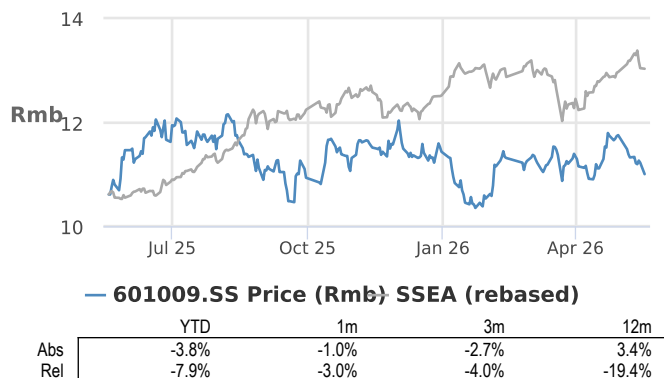
Our Dec-26 PT of Rmb12.80 is based on a DDM, assuming a cost of equity of 12.8%, a normalized ROE of 10.3% and a terminal date of 31 December 2028.

Risks to Rating and Price Target

Downside risks include lower-than-expected fee growth, lower-than-expected NIM expansion, and a deterioration in asset quality.

Upside catalysts include better-than-expected NIM expansion, higher-than-expected loan and fee growth, and better-than-expected macro growth.

Price Performance



Company Data

Shares O/S (mn)	10,344
52-week range (Rmb)	12.20-10.29
Market cap (\$ mn)	16,701
Exchange rate	6.81
Free float (%)	51.9%
3M ADV (mn)	44.16
3M ADV (\$ mn)	73.2
Volatility (90 Day)	20
Index	SHASHR
BBG ANR (Buy Hold Sell)	18 2 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	34,902	41,388	46,213	51,610
Non interest income	20,640	19,913	21,151	22,584
Operating expenses	(15,474)	(16,438)	(17,466)	(18,597)
Adj. PPOP	40,068	44,863	49,899	55,596
Provision for loan losses	(13,967)	(17,185)	(19,801)	(22,567)
Adj. PBT	26,062	27,500	29,920	32,851
Adj. net income	21,146	23,000	25,111	27,668
Adj. EPS	1.71	1.77	1.94	2.13
BBG EPS	1.81	1.90	2.05	2.22
DPS	0.53	0.58	0.64	0.70
Loans	1,391,150	1,579,684	1,798,713	2,047,866
Deposits	1,709,148	1,918,860	2,154,304	2,463,016
Total Assets	3,021,820	3,386,638	3,815,700	4,303,027
Margins and Growth				
NIM	1.8%	1.7%	1.7%	1.7%
Ratios				
Loan/ Deposit ratio	81.4%	82.3%	83.5%	83.1%
NPL / Loans	0.8%	0.8%	0.8%	0.8%
Coverage	309.0%	310.6%	315.6%	312.6%
CET 1	9.3%	9.3%	9.1%	9.0%
Non-int. income/ Income	37.2%	32.5%	31.4%	30.4%
Cost/Income	27.9%	26.8%	25.9%	25.1%
LLP/Loans	(1.0%)	(1.1%)	(1.1%)	(1.1%)
ROA	0.8%	0.7%	0.7%	0.7%
ROE	10.7%	10.6%	10.6%	10.8%
Valuation				
Dividend yield	4.8%	5.3%	5.8%	6.4%
Adj. P/E	6.4	6.2	5.7	5.2
P/ BV	0.7	0.7	0.6	0.6

Summary Investment Thesis and Valuation

- Bank of Nanjing offers an attractive shareholder return, in our view, and the dividend payout ratio is guaranteed to be maintained above 30%. The CET1 position has been enhanced with CB conversion and improved internal capital generation capacity in 2025.
- BoNJ's revenue sensitivity to the bond market has abated, with FVPL as a % of total assets declining since 3Q24. In addition, BoNJ demonstrated strong investment capacity in past cycles.
- Credit risks remain a concern in the near term, with increasing retail NPL ratios in 2H25, while the headline AQ indicators remain largely stable.

Our Dec-26 PT of Rmb12.80 is based on a DDM, assuming a cost of equity of 12.8%, a normalized ROE of 10.3% and a terminal date of 31 December 2028.

Performance Drivers

Market	6%
Region	0%
Macro	15%
Style	22%
Idiosyn.	56%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: China	-0.19	-0.16
Macro:		
Citi Economic Surprise - EM	0.27	0.37
JP Morgan GBI-EM Global Div	0.15	0.20
US 10 Year Yield	-0.08	-0.19
Quant Styles:		
Value	0.48	0.50
LowVol	0.44	0.48
DivYld	0.42	0.43

Bank of Nanjing - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	79,534	86,851	92,660	99,769	108,856	Cash and cash equivalents	1,483	1,455	2,848	3,375	3,795
Interest expense	(52,908)	(51,949)	(51,272)	(53,555)	(57,247)	Deposits with banks	240,062	273,257	311,499	355,165	408,338
Net interest income	26,627	34,902	41,388	46,213	51,610	Net loans	1,225,156	1,391,150	1,579,684	1,798,713	2,047,866
Non interest income	23,646	20,640	19,913	21,151	22,584	PP&E	12,985	12,349	14,004	15,880	18,008
o/w Fee income	2,593	4,282	4,303	4,842	5,474	Net intangibles	1,423	1,501	1,562	1,625	1,690
o/w Trading income	20,398	15,905	15,200	15,900	16,700	LT investments	1,079,559	1,310,038	1,444,317	1,607,525	1,789,176
Net revenues	50,273	55,542	61,301	67,364	74,193	Other assets	2,575,509	3,006,515	3,368,225	3,794,820	4,279,533
Non interest expense	(14,988)	(15,474)	(16,438)	(17,466)	(18,597)	Total assets	2,591,400	3,021,820	3,386,638	3,815,700	4,303,027
o/w Employee costs	(9,633)	(9,744)	(9,375)	(9,942)	(10,544)	Interest earning assets	2,538,854	2,967,702	3,335,501	3,761,403	4,245,379
Pre-Prov. Profits	35,285	40,068	44,863	49,899	55,596	Deposits	1,527,641	1,709,148	1,918,860	2,154,304	2,463,016
Provisions	(10,597)	(13,928)	(17,285)	(19,901)	(22,667)	Borrowings	374,115	616,432	1,182,621	1,346,436	1,490,771
Adj. PBT	24,653	26,062	27,500	29,920	32,851	Other liabilities	661,978	642,152	308,966	354,504	410,125
Income taxes	(4,288)	(4,005)	(3,512)	(3,821)	(4,195)	Total liabilities	2,399,443	2,811,515	3,154,671	3,565,510	4,032,732
Minority interest	(188)	(250)	(329)	(329)	(329)	Shareholder equity	188,529	206,301	228,292	246,844	267,278
Adj. Net profit	19,516	21,146	23,000	25,111	27,668	Minority interests	3,427	4,004	3,675	3,346	3,017
PPOP per share	3.38	3.41	3.63	4.04	4.50	Total liabilities and Shareholder equity	2,591,400	3,021,820	3,386,638	3,815,700	4,303,027
Reported EPS	1.66	1.76	1.82	1.99	2.18	Interest bearing liabilities	2,188,330	2,611,582	2,845,705	3,211,006	3,622,606
Adj. EPS	1.61	1.71	1.77	1.94	2.13						
						Book Value Per Share	14.71	16.28	16.83	18.26	19.84
DPS	0.55	0.53	0.58	0.64	0.70	Tangible Book Value Per Share	16.91	16.56	18.34	19.83	21.48
Diluted shares outstanding	12,146	12,364	12,976	12,976	12,976						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	80.2%	81.4%	82.3%	83.5%	83.1%	Loan loss reserves/Loans	(2.7%)	(2.6%)	(2.6%)	(2.6%)	(2.6%)
Investment/Assets	42.0%	42.6%	43.0%	42.4%	41.8%	NPLs/Loans	0.8%	0.8%	0.8%	0.8%	0.8%
Loan/Assets	48.3%	47.8%	47.5%	48.1%	48.6%	Loan loss reserves/NPLs	340.5%	318.5%	309.9%	313.3%	314.0%
Customer deposits/Liabilities	63.7%	60.8%	60.8%	60.4%	61.1%	NPL y/y growth	5.2%	14.0%	14.0%	11.5%	14.9%
LT debt/Liabilities	7.0%	6.2%	7.0%	8.2%	8.3%	Tier 1 ratio	11.1%	10.6%	10.7%	10.4%	10.1%
						CAR	13.7%	13.2%	12.9%	12.4%	12.0%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.9%	1.8%	1.7%	1.7%	1.7%	Return on equity (ROE)	10.9%	10.7%	10.6%	10.6%	10.8%
Non interest income/Net revenue	47.0%	37.2%	32.5%	31.4%	30.4%	Return on assets (ROA)	0.8%	0.8%	0.7%	0.7%	0.7%
Non interest income/Avg. Assets	1.0%	0.7%	0.6%	0.6%	0.6%	Operating ROA	1.0%	0.9%	0.9%	0.8%	0.8%
Efficiency ratio	29.8%	27.9%	26.8%	25.9%	25.1%	Pre-Tax ROA	1.0%	0.9%	0.9%	0.8%	0.8%
Leverage ratio	7.8%	7.4%	7.2%	6.9%	6.6%	Pre-Provision ROA	1.4%	1.4%	1.4%	1.4%	1.4%
Revenue/Assets	2.1%	2.0%	1.9%	1.9%	1.8%	Tax rate	17.4%	15.4%	12.8%	12.8%	12.8%
RORWA	1.2%	1.2%	1.1%	1.1%	1.1%						
						Net loans y/y growth	14.8%	13.5%	13.6%	13.9%	13.9%
RWA	1,705,427	1,950,592	2,152,216	2,386,729	2,648,523	Assets y/y growth	13.2%	16.6%	12.1%	12.7%	12.8%
Avg. RWA	1,598,199	1,828,009	2,051,404	2,269,473	2,517,626	RWA y/y growth	14.4%	14.4%	10.3%	10.9%	11.0%
Avg. IEA	1,986,917	2,418,436	2,839,813	3,205,308	3,623,360	Deposits y/y growth	9.4%	11.9%	12.3%	12.3%	14.3%
Gross Loans	1,256,398	1,424,356	1,621,629	1,846,225	2,101,927	Net interest income y/y growth	4.6%	31.1%	18.6%	11.7%	11.7%
Avg. IBL	2,240,646	2,610,236	2,966,795	3,350,047	3,780,856	Revenues y/y growth	11.3%	10.5%	10.4%	9.9%	10.1%
LLR	(34,203)	(36,578)	(41,945)	(47,512)	(54,062)	Adj. EPS y/y growth	9.4%	6.5%	3.6%	9.2%	10.2%
NPLs	10,387	11,839	13,503	15,053	17,292	BVPS y/y growth	11.8%	10.7%	3.4%	8.5%	8.6%
P/BV (x)	0.7	0.7	0.7	0.6	0.6	IE assets/Assets	81.4%	86.2%	88.6%	89.0%	89.3%
Adj. P/E (x)	6.8	6.4	6.2	5.7	5.2	Margins (as % of Avg. Assets)	0.9%	1.1%	1.2%	1.2%	1.2%
Dividend yield	5.0%	4.8%	5.3%	5.8%	6.4%	LLP/Loans	(0.9%)	(1.0%)	(1.1%)	(1.1%)	(1.1%)
Dividend payout	32.8%	30.0%	32.0%	32.1%	32.3%	Equity/Assets	7.3%	7.0%	6.8%	6.6%	6.3%
						Cost/Assets	0.6%	0.6%	0.5%	0.5%	0.5%
						Assets/Equity	13.6	14.2	14.7	15.2	15.8

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Overweight

002142.SZ,002142 CH

Price (18 May 26): Rmb31.08

▲ **Price Target (Dec-26): Rmb38.80**
Prior (Dec-26): Rmb38.20

China

Banks & Financial Services

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J.P. Morgan Securities (China) Company Limited

Half Yearly Forecasts (FYE Dec)

Adj. EPS (Rmb)

	2025A	2026E	2027E
H1	2.19	2.40	2.68
H2	2.15	2.39	2.68
FY	4.29	4.79	5.36

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	10	8	7	23	49
Growth	9	15	30	31	42
Momentum	29	45	46	68	33
Quality	3	5	14	16	29
Low Vol	16	24	27	29	24
ESGQ	89	88	91	87	89

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Bank of Ningbo - A

Model update

We actualize 2025 numbers and raise our FY26E/27E earnings by 0.9%/1.4%. In detail, we adjust up our fee income assumptions following the strong fee momentum in 4Q25-1Q26 and increase our NIM forecast; this is partly offset by lower non-NII and higher credit cost assumptions. We also introduce our FY28 forecast. As a result, our Dec-26 PT is revised up 1.6%, to Rmb38.80. Maintain OW.

Investment Thesis, Valuation and Risks

Bank of Ningbo (*Overweight; Price Target: Rmb38.80*)

Investment Thesis

Bank of Ningbo differentiates itself from its small bank peers with its: (1) wealth management development strategy; (2) focus on local SME and high-net-worth retail clients; and (3) comprehensive service platforms that increase client stickiness. As a regional bank, BoNB is more flexible than larger banks to accommodate macro changes. At the same time, the bank enjoys greater economies of scale than its smaller bank peers.

BoNB's reasonable management incentive system ensures that its strategy can be effectively implemented. Meanwhile, the market-oriented mechanism suggests higher potential to expand market share and deliver growth in an upward market cycle.

We think BoNB can maintain better ROE than its peers, aided by: (1) its attractive risk-adjusted asset yield and strong funding franchise; (2) its prudent risk management, especially in higher-risk sectors; (3) its development of capital-light business, i.e., fee business; and (4) the strength of Ningbo's local economy.

Valuation

Our Dec-26 PT of Rmb38.80 is based on a DDM, assuming a cost of capital of 13.9%, a normalized ROE of 13.5% and a terminal date of 31 December 2028.

Risks to Rating and Price Target

Downside risks include lower-than-expected fee growth, higher-than-expected NIM contraction, and a deterioration in SME asset quality.

Upside catalysts include NIM expansion, higher-than-expected loan and fee growth, and better-than-expected macro growth.

Price Performance



— 002142.SZ Price (Rmb) SHEN.B (rebased)

	YTD	1m	3m	12m
Abs	10.6%	-0.2%	-0.4%	18.5%
Rel	21.3%	4.3%	9.3%	23.6%

Company Data

Shares O/S (mn)	6,604
52-week range (Rmb)	33.88-25.90
Market cap (\$ mn)	30,128
Exchange rate	6.81
Free float (%)	63.4%
3M ADV (mn)	22.35
3M ADV (\$ mn)	103.4
Volatility (90 Day)	25
Index	SZBSHR
BBG ANR (Buy Hold Sell)	26 0 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	53,161	61,141	70,237	80,848
Non interest income	18,808	18,863	19,342	20,078
Operating expenses	(24,349)	(25,505)	(27,270)	(29,498)
Adj. PPOP	47,620	54,499	62,308	71,428
Provision for loan losses	(15,288)	(18,665)	(22,356)	(26,706)
Adj. PBT	32,161	35,663	39,781	44,551
Adj. net income	28,311	31,652	35,408	39,758
Adj. EPS	4.29	4.79	5.36	6.02
BBG EPS	4.33	4.80	5.36	5.96
DPS	1.20	1.34	1.50	1.68
Loans	1,690,117	1,959,904	2,270,132	2,629,535
Deposits	2,058,755	2,264,631	2,491,094	2,740,203
Total Assets	3,628,671	4,214,315	4,892,895	5,688,352
Margins and Growth				
NIM	1.7%	1.7%	1.7%	1.7%
Ratios				
Loan/ Deposit ratio	82.1%	86.5%	91.1%	96.0%
NPL / Loans	0.8%	0.8%	0.8%	0.8%
Coverage	365.9%	387.2%	401.2%	415.2%
CET 1	9.3%	8.8%	9.0%	8.7%
Non-int. income/ Income	26.1%	23.6%	21.6%	19.9%
Cost/Income	33.8%	31.9%	30.4%	29.2%
LLP/Loans	(1.0%)	(1.0%)	(1.0%)	(1.1%)
ROA	0.8%	0.8%	0.8%	0.8%
ROE	11.8%	12.5%	12.9%	13.2%
Valuation				
Dividend yield	3.9%	4.3%	4.8%	5.4%
Adj. P/E	7.2	6.5	5.8	5.2
P/ BV	0.9	0.8	0.8	0.7

Summary Investment Thesis and Valuation

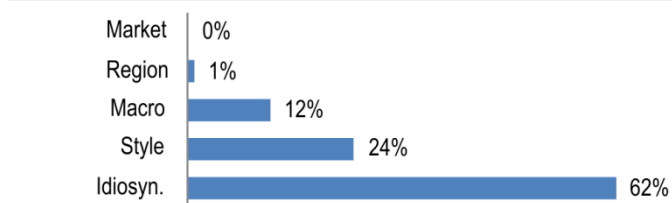
Bank of Ningbo differentiates itself from its small bank peers with its: (1) wealth management development strategy; (2) focus on local SME and high-net-worth retail clients; and (3) comprehensive service platforms that increase client stickiness. As a regional bank, BoNB is more flexible than larger banks to accommodate macro changes. At the same time, the bank enjoys greater economies of scale than its smaller bank peers.

BoNB's reasonable management incentive system ensures that its strategy can be effectively implemented. Meanwhile, the market-oriented mechanism suggests higher potential to expand market share and deliver growth in an upward market cycle.

We think BoNB can maintain better ROE than its peers, aided by: (1) its attractive risk-adjusted asset yield and strong funding franchise; (2) its prudent risk management, especially in higher-risk sectors; (3) its development of capital-light business, i.e., fee business; and (4) the strength of Ningbo's local economy.

Our Dec-26 PT of Rmb38.80 is based on a DDM, assuming a cost of capital of 13.9%, a normalized ROE of 13.5% and a terminal date of 31 December 2028.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: China	0.05	0.14
Macro:		
JP Morgan EMBI Global Spread	-0.03	-0.25
JPM China A-shares Sentiment	0.30	0.23
JPM EM Currency(EMCI) Fixing	0.03	0.22
Quant Styles:		
Value	0.48	0.53
DivYld	0.57	0.49
LowVol	0.48	0.40

Bank of Ningbo - A: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	102,585	105,205	106,231	116,662	130,427	Cash and cash equivalents	1,607	1,667	3,778	3,545	5,576
Interest expense	(54,592)	(52,044)	(45,090)	(46,426)	(49,579)	Deposits with banks	246,842	256,502	308,014	373,017	455,551
Net interest income	47,993	53,161	61,141	70,237	80,848	Net loans	1,437,254	1,690,117	1,959,904	2,270,132	2,629,535
Non interest income	18,638	18,808	18,863	19,342	20,078	PP&E	9,507	9,592	10,176	10,796	11,453
o/w Fee income	4,655	6,085	9,263	10,742	12,478	Net intangibles	6,997	7,049	7,049	7,049	7,049
o/w Trading income	13,446	12,193	9,300	8,300	7,300	LT investments	1,374,239	1,606,892	1,856,603	2,145,119	2,478,471
Net revenues	66,631	71,969	80,004	89,578	100,926	Other assets	3,107,121	3,610,363	4,193,311	4,871,506	5,664,273
Non interest expense	(24,404)	(24,349)	(25,505)	(27,270)	(29,498)	Total assets	3,125,232	3,628,671	4,214,315	4,892,895	5,688,352
o/w Employee costs	(14,825)	(14,732)	(15,037)	(16,068)	(17,322)	Interest earning assets	3,049,513	3,543,703	4,119,371	4,782,862	5,557,880
Pre-Prov. Profits	42,227	47,620	54,499	62,308	71,428	Deposits	1,869,624	2,058,755	2,264,631	2,491,094	2,740,203
Provisions	(10,679)	(15,279)	(18,656)	(22,347)	(26,697)	Borrowings	527,660	808,737	1,113,258	1,469,582	1,908,096
Adj. PBT	31,286	32,161	35,663	39,781	44,551	Other liabilities	545,081	590,549	663,645	735,384	816,060
Income taxes	(4,065)	(2,632)	(3,139)	(3,502)	(3,922)	Total liabilities	2,890,972	3,380,042	3,952,034	4,604,246	5,370,202
Minority interest	(94)	(196)	(196)	(196)	(196)	Shareholder equity	233,151	247,324	260,779	286,952	316,258
Adj. Net profit	26,105	28,311	31,652	35,408	39,758	Minority interests	1,109	1,305	1,501	1,697	1,893
PPOP per share	6.39	7.21	8.25	9.43	10.82	Total liabilities and Shareholder equity	3,125,232	3,628,671	4,214,315	4,892,895	5,688,352
Reported EPS	4.11	4.44	4.89	5.46	6.12	Interest bearing liabilities	2,779,288	3,249,240	3,799,168	4,436,337	5,184,607
Adj. EPS	3.95	4.29	4.79	5.36	6.02	Book Value Per Share	31.55	33.69	37.24	41.21	45.64
DPS	0.90	1.20	1.34	1.50	1.68	Tangible Book Value Per Share	34.25	36.38	38.42	42.38	46.82
Diluted shares outstanding	6,604	6,604	6,604	6,604	6,604						
Balance Sheet Gearing						Asset Quality/Capital					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	76.9%	82.1%	86.5%	91.1%	96.0%	Loan loss reserves/Loans	(2.9%)	(2.8%)	(2.9%)	(3.0%)	(3.1%)
Investment/Assets	44.7%	44.1%	44.2%	43.9%	43.7%	NPLs/Loans	0.8%	0.8%	0.8%	0.8%	0.8%
Loan/Assets	46.8%	47.5%	47.8%	47.9%	47.8%	Loan loss reserves/NPLs	415.4%	374.1%	377.3%	394.7%	408.7%
Customer deposits/Liabilities	64.7%	60.9%	57.3%	54.1%	51.0%	NPL y/y growth	18.6%	16.7%	16.0%	16.1%	16.0%
LT debt/Liabilities	3.0%	2.2%	2.4%	2.3%	2.0%	Tier 1 ratio	11.0%	10.4%	9.8%	9.3%	9.0%
						CAR	15.3%	14.3%	13.2%	12.3%	11.6%
Ratio Analysis (%)						Ratio Analysis (%)					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.9%	1.7%	1.7%	1.7%	1.7%	Return on equity (ROE)	12.0%	11.8%	12.5%	12.9%	13.2%
Non interest income/Net revenue	28.0%	26.1%	23.6%	21.6%	19.9%	Return on assets (ROA)	0.9%	0.8%	0.8%	0.8%	0.8%
Non interest income/Avg. Assets	0.6%	0.6%	0.5%	0.4%	0.4%	Operating ROA	1.1%	1.0%	0.9%	0.9%	0.8%
Efficiency ratio	36.6%	33.8%	31.9%	30.4%	29.2%	Pre-Tax ROA	1.0%	1.0%	0.9%	0.9%	0.8%
Leverage ratio	7.9%	7.2%	6.6%	6.2%	5.9%	Pre-Provision ROA	1.4%	1.4%	1.4%	1.4%	1.4%
Revenue/Assets	2.3%	2.1%	2.0%	2.0%	1.9%	Tax rate	13.0%	8.2%	8.8%	8.8%	8.8%
RORWA	1.3%	1.3%	1.3%	1.2%	1.2%						
RWA	2,089,099	2,348,530	2,643,281	3,044,432	3,482,494	Net loans y/y growth	18.4%	17.6%	16.0%	15.8%	15.8%
Avg. RWA	1,950,148	2,218,815	2,495,906	2,843,857	3,263,463	Assets y/y growth	15.3%	16.1%	16.1%	16.1%	16.3%
Avg. IEA	2,585,537	3,056,484	3,592,682	4,194,833	4,892,300	RWA y/y growth	15.3%	12.4%	12.6%	15.2%	14.4%
Gross Loans	1,476,063	1,733,314	2,018,964	2,341,191	2,714,845	Deposits y/y growth	17.7%	10.1%	10.0%	10.0%	10.0%
Avg. IBL	2,646,193	3,089,697	3,545,672	4,141,798	4,836,242	Net interest income y/y growth	17.3%	10.8%	15.0%	14.9%	15.1%
LLR	(43,220)	(48,101)	(59,061)	(71,059)	(85,310)	Revenues y/y growth	8.2%	8.0%	11.2%	12.0%	12.7%
NPLs	11,267	13,147	15,255	17,713	20,549	Adj. EPS y/y growth	5.4%	8.5%	11.8%	11.9%	12.3%
P/BV (x)	1.0	0.9	0.8	0.8	0.7	BVPS y/y growth	18.1%	6.8%	10.5%	10.6%	10.8%
Adj. P/E (x)	7.9	7.2	6.5	5.8	5.2	IE assets/Assets	88.6%	90.5%	91.6%	92.1%	92.5%
Dividend yield	2.9%	3.9%	4.3%	4.8%	5.4%	Margins (as % of Avg. Assets)	1.5%	1.5%	1.5%	1.5%	1.4%
Dividend payout	21.9%	27.0%	27.4%	27.5%	27.5%	LLP/Loans	(0.8%)	(1.0%)	(1.0%)	(1.0%)	(1.1%)
						Equity/Assets	7.4%	7.1%	6.5%	6.0%	5.7%
						Cost/Assets	0.8%	0.7%	0.7%	0.6%	0.6%
						Assets/Equity	13.4	14.1	15.4	16.6	17.5

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

▼ Neutral

Previous: Overweight

601229.SS, 601229.CH

Price (18 May 26): Rmb9.26

▼ Price Target (Dec-26): Rmb9.50

Prior (Dec-26): Rmb11.70

China

Banks & Financial Services

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SAC Registration Number: S1730524080002

J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.51	1.45	-3.6%
Adj. EPS - 27E (Rmb)	1.58	1.49	-5.4%

Half Yearly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
H1	0.81	0.82	0.84
H2	0.62	0.63	0.65
FY	1.43	1.45	1.49

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	12	15	22	11	14
Growth	53	74	75	87	80
Momentum	60	55	12	66	62
Quality	22	43	45	66	52
Low Vol	8	8	4	4	4
ESGQ	27	86	29	99	23

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Bank of Shanghai - A

Downgrade to Neutral on the back of a weaker core earnings recovery than peers'

We actualize 2025 numbers and cut our FY26E/27E profits by 2.5%/4.3%, as management guided only low-single-digit growth in 2026-27 profits. In detail, we revise up our NIM and NII forecasts, cut our non-fee income forecasts and increase our opex estimates. We also introduce our FY28 forecasts. We follow a DDM-approach to valuation. Our Dec-26 PT is revised down 19%, to Rmb9.50.

We downgrade BoSH to Neutral, as its core earnings recovery is weaker than peers', while management's strategy of stable low-single-digit EPS growth and a ~30% payout ratio makes the stock more of a defensive name at a time when investor interest in non-SOE bank dividend plays is fading and the market is increasingly seeking higher-beta regional bank names.

Investment Thesis, Valuation and Risks

Bank of Shanghai (Neutral; Price Target: Rmb9.50)

Investment Thesis

- Bank of Shanghai offers attractive shareholder returns, in our view. We believe its relatively rich CET1 capital level should enable it to maintain or raise the dividend payout ratio.
- BoSH has reached a turning point in terms of asset quality, with softening trends in NPL formation and credit costs. BoSH has been reducing its exposure to higher-risk sectors (such as property) for a healthier balance sheet since 2021.
- Management guided to stable EPS growth in 2026. We believe provision and cost management could cushion earnings growth if there is downside risk to revenues. However, lackluster long-term risk-adjusted returns and a weak franchise will likely lead to soft profitability momentum.

Valuation

Our Dec-26 PT of Rmb9.50 is based on a DDM model, assuming a cost of equity of 11.3%, a normalized ROE of 7.80% and a terminal date of 31 December 2028.

DDM-derived valuation

P/BV-based valuation	JPM
Risk-free rate	1.80%
Equity premium	10.5%
Beta	0.9
Cost of capital	11.3%
Long-term growth	5.00%
Fair terminal book P/BV	0.4
Valuation date	15-May-26
Terminal date	31-Dec-28
PV of terminal value	7.1
PV of dividends	1.8
Current fair value (Rmb)	8.9
Dec-26 price target (Rmb)	9.5

Source: J.P. Morgan estimates

Risks to Rating and Price Target

Downside risks include lower-than-expected fee growth, lower-than-expected NIM expansion, and a deterioration in asset quality.

Upside risks include better-than-expected NIM expansion, higher-than-expected loan and fee growth, and better-than-expected macro growth.

Price Performance



— 601229.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	-8.3%	-4.9%	-7.1%	-15.9%
Rel	-12.4%	-6.9%	-8.3%	-38.7%

Company Data

Shares O/S (mn)	14,207
52-week range (Rmb)	11.47-8.86
Market cap (\$ mn)	19,310
Exchange rate	6.81
Free float (%)	58.3%
3M ADV (mn)	45.16
3M ADV (\$ mn)	64.3
Volatility (90 Day)	19
Index	SHASHR
BBG ANR (Buy Hold Sell)	14 1 0

Key Metrics (FYE Dec)

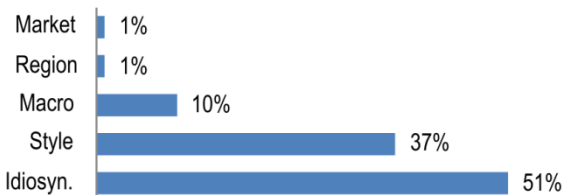
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	33,344	34,255	36,682	39,339
Non interest income	21,417	21,776	21,572	22,076
Operating expenses	(13,417)	(13,805)	(14,270)	(14,922)
Adj. PPOP	41,344	42,225	43,984	46,493
Provision for loan losses	(14,606)	(12,859)	(13,888)	(15,151)
Adj. PBT	28,284	28,767	29,497	30,741
Adj. net income	23,389	23,824	24,450	25,522
Adj. EPS	1.43	1.45	1.49	1.56
BBG EPS	1.68	1.74	1.81	1.86
DPS	0.52	0.52	0.53	0.56
Loans	1,405,489	1,456,096	1,529,466	1,605,492
Deposits	1,757,869	1,844,708	1,935,837	2,031,467
Total Assets	3,308,752	3,506,170	3,731,673	3,975,648
Margins and Growth				
NIM	1.2%	1.1%	1.1%	1.2%
Ratios				
Loan/ Deposit ratio	80.0%	78.9%	79.0%	79.0%
NPL / Loans	1.2%	1.2%	1.2%	1.2%
Coverage	242.9%	242.4%	243.4%	245.4%
CET 1	10.7%	10.8%	10.8%	10.8%
Non-int. income/ Income	39.1%	38.9%	37.0%	35.9%
Cost/Income	24.5%	24.6%	24.5%	24.3%
LLP/Loans	(1.0%)	(0.9%)	(0.9%)	(0.9%)
ROA	0.7%	0.7%	0.7%	0.7%
ROE	9.2%	9.0%	8.7%	8.5%
Valuation				
Dividend yield	5.6%	5.6%	5.8%	6.0%
Adj. P/E	6.5	6.4	6.2	6.0
P/ BV	0.5	0.5	0.5	0.4

Summary Investment Thesis and Valuation

- Bank of Shanghai offers attractive shareholder returns, in our view. We believe its relatively rich CET1 capital level should enable it to maintain or raise the dividend payout ratio.
- BoSH has reached a turning point in terms of asset quality, with softening trends in NPL formation and credit costs. BoSH has been reducing its exposure to higher-risk sectors (such as property) for a healthier balance sheet since 2021.
- Management guided to stable EPS growth in 2026. We believe provision and cost management could cushion earnings growth if there is downside risk to revenues. However, lackluster long-term risk-adjusted returns and a weak franchise will likely lead to soft profitability momentum.

Our Dec-26 PT of Rmb9.50 is based on a DDM model, assuming a cost of equity of 11.3%, a normalized ROE of 7.80% and a terminal date of 31 December 2028.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.25	-0.11
Region: China	0.01	-0.07
Macro:		
Emerging Economies CPI(YoY)	0.05	-0.21
JP Morgan GBI-EM Global Div	0.13	0.18
HSI Volatility Index	0.24	-0.17
Quant Styles:		
LowVol	0.56	0.50
DivYld	0.60	0.44
Value	0.54	0.40

Bank of Shanghai - A: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	91,229	80,997	74,863	74,793	76,466	Cash and cash equivalents	1,283	1,410	4,301	1,020	1,141
Interest expense	(58,743)	(47,652)	(40,608)	(38,110)	(37,127)	Deposits with banks	402,638	411,337	440,116	471,007	504,171
Net interest income	32,486	33,344	34,255	36,682	39,339	Net loans	1,366,903	1,405,489	1,456,096	1,529,466	1,605,492
Non interest income	20,499	21,417	21,776	21,572	22,076	PP&E	10,220	9,848	10,046	10,248	10,454
o/w Fee income	3,959	3,707	3,665	3,726	3,930	Net intangibles	1,355	1,655	1,721	1,791	1,863
o/w Trading income	16,131	17,500	17,900	17,400	17,700	LT investments	1,372,861	1,407,516	1,522,369	1,646,594	1,780,956
Net revenues	52,986	54,761	56,030	58,254	61,415	Other assets	3,213,797	3,295,839	3,490,102	3,718,613	3,962,189
Non interest expense	(13,237)	(13,417)	(13,805)	(14,270)	(14,922)	Total assets	3,226,656	3,308,752	3,506,170	3,731,673	3,975,648
o/w Employee costs	(7,022)	(7,160)	(7,046)	(6,859)	(6,641)	Interest earning assets	3,131,724	3,212,395	3,418,581	3,647,068	3,890,619
Pre-Prov. Profits	39,749	41,344	42,225	43,984	46,493						
Provisions	(12,447)	(12,951)	(13,459)	(14,488)	(15,751)	Deposits	1,740,585	1,757,869	1,844,708	1,935,837	2,031,467
Adj. PBT	27,021	28,284	28,767	29,497	30,741	Borrowings	723,081	707,838	798,633	912,391	1,039,026
Income taxes	(3,460)	(4,111)	(4,181)	(4,284)	(4,457)	Other liabilities	602,829	726,160	734,979	765,243	804,735
Minority interest	(1)	21	40	40	40	Total liabilities	2,971,999	3,052,226	3,232,368	3,439,963	3,665,153
Adj. Net profit	22,756	23,389	23,824	24,450	25,522	Shareholder equity	254,193	256,200	273,437	291,305	310,049
						Minority interests	464	325	365	405	446
PPOP per share	2.80	2.91	2.97	3.10	3.27	Total liabilities and Shareholder equity	3,226,656	3,308,752	3,506,170	3,731,673	3,975,648
Reported EPS	1.44	1.46	1.45	1.49	1.56	Interest bearing liabilities	2,832,836	2,880,620	3,051,943	3,229,274	3,414,972
Adj. EPS	1.40	1.43	1.45	1.49	1.56						
						Book Value Per Share	16.46	17.30	18.51	19.77	21.09
DPS	0.50	0.52	0.52	0.53	0.56	Tangible Book Value Per Share	17.80	17.91	19.12	20.38	21.69
Diluted shares outstanding	16,241	16,407	16,408	16,408	16,408						
Balance Sheet Gearing						Asset Quality/Capital					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	78.5%	80.0%	78.9%	79.0%	79.0%	Loan loss reserves/Loans	(3.1%)	(2.9%)	(2.8%)	(2.8%)	(2.9%)
Investment/Assets	42.4%	42.5%	43.0%	43.8%	44.5%	NPLs/Loans	1.2%	1.2%	1.2%	1.2%	1.2%
Loan/Assets	44.1%	43.6%	43.1%	42.5%	41.9%	Loan loss reserves/NPLs	264.1%	254.6%	242.7%	243.0%	244.5%
Customer deposits/Liabilities	58.6%	57.6%	57.1%	56.3%	55.4%	NPL y/y growth	(0.1%)	2.5%	3.4%	4.6%	6.5%
LT debt/Liabilities	4.4%	3.9%	4.6%	4.8%	5.4%	Tier 1 ratio	11.2%	11.1%	11.2%	11.2%	11.2%
						CAR	2.9%	2.9%	2.7%	2.6%	2.4%
Ratio Analysis (%)						Ratio Analysis (%)					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.2%	1.2%	1.1%	1.1%	1.2%	Return on equity (ROE)	9.2%	9.2%	9.0%	8.7%	8.5%
Non interest income/Net revenue	38.7%	39.1%	38.9%	37.0%	35.9%	Return on assets (ROA)	0.7%	0.7%	0.7%	0.7%	0.7%
Non interest income/Avg. Assets	0.6%	0.7%	0.6%	0.6%	0.6%	Operating ROA	0.9%	0.8%	0.9%	0.8%	0.8%
Efficiency ratio	25.0%	24.5%	24.6%	24.5%	24.3%	Pre-Tax ROA	0.9%	0.8%	0.9%	0.8%	0.8%
Leverage ratio	7.9%	7.8%	8.0%	8.0%	8.0%	Pre-Provision ROA	1.3%	1.3%	1.2%	1.2%	1.2%
Revenue/Assets	1.7%	1.7%	1.6%	1.6%	1.6%	Tax rate	12.8%	14.5%	14.5%	14.5%	14.5%
RORWA	1.0%	1.0%	1.0%	1.0%	1.0%						
						Net loans y/y growth	2.1%	2.8%	3.6%	5.0%	5.0%
RWA	2,227,204	2,297,432	2,434,510	2,591,087	2,760,491	Assets y/y growth	4.6%	2.5%	6.0%	6.4%	6.5%
Avg. RWA	2,232,423	2,262,318	2,365,971	2,512,798	2,675,789	RWA y/y growth	(0.5%)	3.2%	6.0%	6.4%	6.5%
Avg. IEA	2,782,329	2,875,112	3,012,442	3,200,887	3,409,119	Deposits y/y growth	4.1%	1.0%	4.9%	4.9%	4.9%
Gross Loans	1,405,756	1,440,810	1,498,695	1,574,229	1,653,570	Net interest income y/y growth	(7.6%)	2.6%	2.7%	7.1%	7.2%
Avg. IBL	2,845,962	2,816,417	2,878,947	3,036,761	3,204,273	Revenues y/y growth	4.8%	3.4%	2.3%	4.0%	5.4%
LLR	(44,192)	(41,294)	(42,599)	(44,762)	(48,078)	Adj. EPS y/y growth	4.7%	1.7%	1.8%	2.6%	4.4%
NPLs	16,580	16,997	17,571	18,387	19,589	BVPS y/y growth	7.2%	5.1%	7.0%	6.8%	6.7%
P/BV (x)	0.6	0.5	0.5	0.5	0.4	IE assets/Assets	88.2%	88.0%	88.4%	88.4%	88.5%
Adj. P/E (x)	6.6	6.5	6.4	6.2	6.0	Margins (as % of Avg. Assets)	0.9%	0.9%	0.9%	0.9%	0.9%
Dividend yield	5.4%	5.6%	5.6%	5.8%	6.0%	LLP/Loans	(0.8%)	(1.0%)	(0.9%)	(0.9%)	(0.9%)
Dividend payout	34.8%	35.6%	35.8%	35.8%	35.8%	Equity/Assets	7.8%	7.8%	7.8%	7.8%	7.8%
						Cost/Assets	0.4%	0.4%	0.4%	0.4%	0.4%
						Assets/Equity	12.8	12.8	12.9	12.8	12.8

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Underweight

601128.SS,601128.CH

Price (18 May 26): Rmb7.19

▲ **Price Target (Dec-26): Rmb6.20**
Prior (Dec-26): Rmb5.50

China

Banks & Financial Services

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SAC Registration Number: S1730524080002

J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Net revenue - 26E (Rmb mn)	12,807	12,407	-3.1%

Half Yearly Forecasts (FYE Dec)

Net revenue (Rmb mn)	2025A	2026E	2027E
H1	6,062	6,416	6,927
H2	5,558	5,991	6,559
FY	11,619	12,407	13,486

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	17	12	14	37	56
Growth	57	54	52	9	40
Momentum	45	51	46	50	77
Quality	58	44	38	4	23
Low Vol	6	8	6	11	22

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Changshu Rural Commercial Bank - A

Model update

We actualize 2025 numbers and cut our FY26E/27E earnings by 1.6%/2.3%. We also introduce our FY28 forecast. In terms of valuation, we adjust down our normalized credit cost forecast on the back of marginal improvements in macro environments, which drives up our normalized ROE assumption to 9.8% (from 9.1% previously). As a result, our Dec-26 PT is revised up 13%, to Rmb6.20. We maintain our UW rating until we observe an obvious signal in AQ bottoming, all else equal.

Investment Thesis, Valuation and Risks

Jiangsu Changshu Rural Commercial Bank Limited Company - A (Underweight; Price Target: Rmb6.20)

Investment Thesis

- CSRCB has developed its own small business loan model to capture the niche individual business loan market, allowing it to avoid direct competition with larger banks in the local area. This strategy has helped it to achieve the highest retail loan yield among the CRBs we cover with a relatively stable asset quality.
- CSRCB has a nationwide village bank license available for wide expansion. This expansion potential is rare, given the generally unconstructive regulatory approach to CRBs expanding in different areas. Meanwhile, CSRCB is able to replicate its successful experience in Changshu quickly to new branches, as it puts the risk control and loan approval functions in its back office.
- Rising asset quality risks from the retail side are a major concern. As the SME economy remains weak, we note upticks in the forward-looking AQ indicators (SML % and overdue %) and NPL formation. In addition, fierce competition and weak demand have pushed the bank to increase its exposure to credit loans, which are subject to higher risks.

Valuation

Our Dec-26 PT of Rmb6.20 is based on DDM, assuming a cost of equity of 14.40%, a normalized ROE of 9.8% and a terminal date of 31 December 2028.

Risks to Rating and Price Target

Upside risks include better-than-expected NIM expansion, higher-than-expected loan and fee growth, and better-than-expected macro growth.

Downside catalysts include lower-than-expected fee growth, lower-than-expected NIM expansion, and a deterioration in asset quality.

Price Performance



Company Data

Shares O/S (mn)	2,741
52-week range (Rmb)	7.99-6.77
Market cap (\$ mn)	2,893
Exchange rate	6.81
Free float (%)	85.0%
3M ADV (mn)	40.23
3M ADV (\$ mn)	42.4
Volatility (90 Day)	15
Index	SHASHR
BBG ANR (Buy Hold Sell)	22 2 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	9,370	10,049	11,180	12,617
Non interest income	2,249	2,358	2,306	2,146
Operating expenses	(4,208)	(4,412)	(4,705)	(5,076)
Adj. PPOP	7,411	7,995	8,781	9,688
Provision for loan losses	(1,795)	(1,898)	(2,057)	(2,267)
Adj. PBT	5,315	5,807	6,434	7,131
Adj. net income	4,393	4,684	5,211	5,795
Adj. EPS	1.01	1.08	1.20	1.34
BBG EPS	1.28	1.41	1.55	1.70
DPS	0.27	0.30	0.33	0.37
Loans	248,584	266,653	284,143	302,795
Deposits	317,345	344,653	377,809	414,154
Total Assets	403,079	448,648	500,983	566,020
Margins and Growth				
NIM	2.5%	2.4%	2.4%	2.4%
Ratios				
Loan/ Deposit ratio	78.3%	77.4%	75.2%	73.1%
NPL / Loans	0.8%	0.8%	0.8%	0.8%
Coverage	434.0%	425.3%	419.3%	417.3%
CET 1	11.6%	11.7%	11.7%	11.6%
Non-int. income/ Income	19.4%	19.0%	17.1%	14.5%
Cost/Income	36.2%	35.6%	34.9%	34.4%
LLP/Loans	(0.7%)	(0.7%)	(0.7%)	(0.7%)
ROA	1.1%	1.1%	1.1%	1.1%
ROE	14.6%	14.1%	14.0%	13.9%
Valuation				
Dividend yield	3.8%	4.2%	4.6%	5.2%
Adj. P/E	7.1	6.7	6.0	5.4
P/ BV	0.8	0.7	0.6	0.6

Summary Investment Thesis and Valuation

- CSRCB has developed its own small business loan model to capture the niche individual business loan market, allowing it to avoid direct competition with larger banks in the local area. This strategy has helped it to achieve the highest retail loan yield among the CRBs we cover with a relatively stable asset quality.
- CSRCB has a nationwide village bank license available for wide expansion. This expansion potential is rare, given the generally unconstructive regulatory approach to CRBs expanding in different areas. Meanwhile, CSRCB is able to replicate its successful experience in Changshu quickly to new branches, as it puts the risk control and loan approval functions in its back office.
- Rising asset quality risks from the retail side are a major concern. As the SME economy remains weak, we note upticks in the forward-looking AQ indicators (SML % and overdue %) and NPL formation. In addition, fierce competition and weak demand have pushed the bank to increase its exposure to credit loans, which are subject to higher risks.

Our Dec-26 PT of Rmb6.20 is based on DDM, assuming a cost of equity of 14.40%, a normalized ROE of 9.8% and a terminal date of 31 December 2028.

Performance Drivers

Market	1%
Region	0%
Macro	12%
Style	35%
Idiosyn.	52%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.06	0.10
Region: China	-0.04	0.01
Macro:		
JPM EM Currency(EMCI) Fixing	0.25	0.33
JP Morgan GBI-EM Global Div	0.36	0.32
JPM China A-shares Sentiment	0.23	0.26
Quant Styles:		
Value	0.52	0.54
LowVol	0.53	0.53
DivYld	0.50	0.48

Changshu Rural Commercial Bank - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	16,294	15,983	15,856	16,701	18,196	Cash and cash equivalents	573	547	1,066	448	538
Interest expense	(7,152)	(6,613)	(5,807)	(5,522)	(5,579)	Deposits with banks	31,038	38,303	48,149	62,512	84,261
Net interest income	9,142	9,370	10,049	11,180	12,617	Net loans	232,489	248,584	266,653	284,143	302,795
Non interest income	1,767	2,249	2,358	2,306	2,146	PP&E	2,198	2,501	2,679	2,869	3,073
o/w Fee income	83	360	519	667	707	Net intangibles	325	302	317	333	350
o/w Trading income	-	-	-	-	-	LT investments	94,399	106,961	123,540	144,048	167,960
Net revenues	10,909	11,619	12,407	13,486	14,764	Other assets	363,486	399,728	444,585	497,333	562,059
Non interest expense	(4,060)	(4,208)	(4,412)	(4,705)	(5,076)	Total assets	366,582	403,079	448,648	500,983	566,020
o/w Employee costs	(2,536)	(2,698)	(3,046)	(3,385)	(3,624)	Interest earning assets	356,509	392,193	438,342	490,702	555,016
Pre-Prov. Profits	6,850	7,411	7,995	8,781	9,688	Deposits	294,965	317,345	344,653	377,809	414,154
Provisions	(1,981)	(2,104)	(2,195)	(2,355)	(2,565)	Borrowings	28,058	36,363	49,951	63,127	85,339
Adj. PBT	4,845	5,315	5,807	6,434	7,131	Other liabilities	12,524	11,571	11,612	11,815	12,171
Income taxes	(772)	(851)	(930)	(1,030)	(1,143)	Total liabilities	335,913	369,618	411,555	459,921	520,512
Minority interest	(260)	(245)	(193)	(193)	(193)	Shareholder equity	28,648	31,380	35,204	39,366	44,004
Adj. Net profit	3,984	4,393	4,684	5,211	5,795	Minority interests	2,021	2,082	1,889	1,696	1,504
PPOP per share	2.07	2.23	2.41	2.65	2.92	Total liabilities and Shareholder equity	366,582	403,079	448,648	500,983	566,020
Reported EPS	0.89	0.97	1.08	1.20	1.34	Interest bearing liabilities	335,913	369,618	411,555	459,921	520,512
Adj. EPS	0.93	1.01	1.08	1.20	1.34	Book Value Per Share	9.26	9.24	10.40	11.65	13.05
DPS	0.25	0.27	0.30	0.33	0.37	Tangible Book Value Per Share	9.39	9.37	10.52	11.77	13.16
Diluted shares outstanding	4,274	4,335	4,335	4,335	4,335						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	78.8%	78.3%	77.4%	75.2%	73.1%	Loan loss reserves/Loans	(3.8%)	(3.3%)	(3.3%)	(3.3%)	(3.2%)
Investment/Assets	25.9%	26.2%	27.1%	28.2%	29.2%	NPLs/Loans	0.8%	0.8%	0.8%	0.8%	0.8%
Loan/Assets	66.1%	64.6%	59.3%	56.8%	53.6%	Loan loss reserves/NPLs	507.7%	460.8%	429.4%	422.1%	418.2%
Customer deposits/Liabilities	87.8%	85.9%	83.7%	82.1%	79.6%	NPL y/y growth	11.1%	4.7%	8.7%	8.0%	6.8%
LT debt/Liabilities	3.2%	2.0%	1.7%	1.7%	1.6%	Tier 1 ratio	11.2%	11.7%	11.7%	11.7%	11.6%
						CAR	14.2%	12.9%	12.8%	12.8%	12.5%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.7%	2.5%	2.4%	2.4%	2.4%	Return on equity (ROE)	14.8%	14.6%	14.1%	14.0%	13.9%
Non interest income/Net revenue	16.2%	19.4%	19.0%	17.1%	14.5%	Return on assets (ROA)	1.1%	1.1%	1.1%	1.1%	1.1%
Non interest income/Avg. Assets	0.5%	0.6%	0.6%	0.5%	0.4%	Operating ROA	1.2%	1.5%	1.5%	1.4%	1.4%
Efficiency ratio	37.2%	36.2%	35.6%	34.9%	34.4%	Pre-Tax ROA	1.2%	1.5%	1.5%	1.4%	1.4%
Leverage ratio	8.5%	8.4%	8.5%	8.4%	8.3%	Pre-Provision ROA	2.0%	1.9%	1.9%	1.8%	1.8%
Revenue/Assets	3.1%	3.0%	2.9%	2.8%	2.8%	Tax rate	15.9%	16.0%	16.0%	16.0%	16.0%
RORWA	1.5%	1.6%	1.6%	1.6%	1.6%						
						Net loans y/y growth	8.5%	6.9%	7.3%	6.6%	6.6%
RWA	265,162	278,796	308,071	341,502	383,005	Assets y/y growth	9.6%	10.0%	11.3%	11.7%	13.0%
Avg. RWA	259,228	271,979	293,433	324,786	362,254	RWA y/y growth	4.7%	5.1%	10.5%	10.9%	12.2%
Avg. IEA	341,467	373,015	411,942	462,196	523,720	Deposits y/y growth	15.9%	7.6%	8.6%	9.6%	9.6%
Gross Loans	240,862	256,195	275,640	293,708	312,961	Net interest income y/y growth	7.5%	2.5%	7.2%	11.2%	12.9%
Avg. IBL	316,292	344,116	398,150	443,312	497,458	Revenues y/y growth	10.5%	6.5%	6.8%	8.7%	9.5%
LLR	(9,082)	(8,439)	(8,987)	(9,566)	(10,166)	Adj. EPS y/y growth	4.3%	8.7%	6.6%	11.2%	11.2%
NPLs	1,858	1,944	2,113	2,282	2,436	BVPS y/y growth	3.1%	(0.2%)	12.5%	12.1%	12.0%
P/BV (x)	0.8	0.8	0.7	0.6	0.6	IE assets/Assets	97.4%	96.9%	91.8%	92.3%	92.5%
Adj. P/E (x)	7.7	7.1	6.7	6.0	5.4	Margins (as % of Avg. Assets)	2.6%	2.4%	2.2%	2.2%	2.2%
Dividend yield	3.5%	3.8%	4.2%	4.6%	5.2%	(1.2%)	(0.7%)	(0.7%)	(0.7%)	(0.7%)	(0.7%)
Dividend payout	28.0%	27.7%	27.7%	27.7%	27.7%	Equity/Assets	7.7%	7.8%	7.4%	7.4%	7.4%
						Cost/Assets	1.2%	1.1%	1.0%	1.0%	1.0%
						Assets/Equity	13.0	12.8	12.8	12.7	12.8

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Overweight

601077.SS,601077 CH

Price (18 May 26): Rmb6.86

Price Target (Dec-26): Rmb8.30

China

Banks & Financial Services

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Net revenue - 27E (Rmb mn)	31,907	33,192	4.0%

Half Yearly Forecasts (FYE Dec)

Net revenue (Rmb mn)	2025A	2026E	2027E
H1	14,741	15,898	16,889
H2	13,908	14,824	16,303
FY	28,648	30,722	33,192

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	24	22	28	6	16
Growth	20	18	32	87	48
Momentum	38	53	24	14	85
Quality	12	4	7	82	20
Low Vol	18	22	11	4	7

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Chongqing Rural Commercial Bank - A

Model update

We actualize 2025 numbers and raise our FY26E/27E/28E earnings by 0.8%/0.2%/0.3%. Our Dec-26 PT is unchanged, at Rmb8.30. Maintain OW.

Investment Thesis, Valuation and Risks

Chongqing Rural Commercial Bank Limited Company - A (Overweight; Price Target: Rmb8.30)

Investment Thesis

- We believe CRCB has reached a turning point in asset quality, with a decrease in NPL formation and credit cost. We expect the AQ outlook to remain largely stable, despite some fluctuations from the retail side. We rate the stock OW.
- CRCB has a strong funding franchise, achieved by its full outlet coverage in the Chongqing City and County area. CRCB had the lowest deposit cost and highest deposit contribution to IBL mix among its CRB peers.
- The dividend yield is attractive, at ~5% in FY26E, in our view, while we believe HY investors prefer larger SOE names due to more stable dividend records and EPS outlooks.

Valuation

Our Dec-26 PT of Rmb8.30 is based on a DDM, assuming a cost of equity of 11.3%, a normalized ROE of 8.7% and a terminal date of 31 December 2028.

DDM-derived valuation

P/BV-based valuation	JPM
Risk-free rate	1.80%
Equity premium	10.5%
Beta	0.9
Cost of capital	11.3%
Long-term growth	5.00%
Fair terminal book P/BV	0.59x
Valuation date	15-May-26
Terminal date	31-Dec-28
PV of terminal value	6.5
PV of dividends	1.2
Current fair value (Rmb)	7.7
Dec-26 price target (Rmb)	8.3

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include worse-than-expected macro growth that leads to rising credit costs, eroding ROE.

Upside catalysts include: (1) better-than-expected dividend policy; and (2) better-than-expected macro growth in the Chongqing area that enables CRCB to improve its loan pricing power. This may lead to higher ROE than our estimate.

Price Performance



— 601077.SS Price (Rmb) MSCI-Cnx (rebased)

	YTD	1m	3m	12m
Abs	6.2%	-4.7%	3.2%	-5.6%
Rel	11.0%	-1.8%	9.1%	-11.8%

Company Data

Shares O/S (mn)	11,357
52-week range (Rmb)	7.79-6.02
Market cap (\$ mn)	11,436
Exchange rate	6.81
Free float (%)	57.1%
3M ADV (mn)	48.60
3M ADV (\$ mn)	49.7
Volatility (90 Day)	24
Index	MXCNX
BBG ANR (Buy Hold Sell)	19 0 0

Key Metrics (FYE Dec)

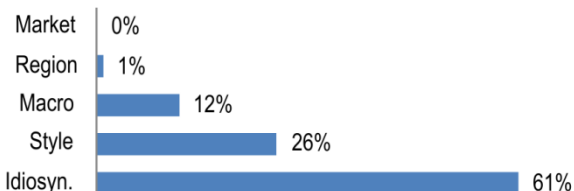
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	24,261	26,652	29,065	31,884
Non interest income	4,388	4,069	4,127	3,948
Operating expenses	(9,425)	(9,693)	(10,344)	(10,921)
Adj. PPOP	19,223	21,028	22,847	24,910
Provision for loan losses	(5,085)	(5,254)	(5,902)	(6,490)
Adj. PBT	13,709	15,374	16,545	18,020
Adj. net income	12,128	13,002	14,015	15,290
Adj. EPS	1.07	1.14	1.23	1.35
BBG EPS	1.06	1.15	1.25	1.36
DPS	0.32	0.34	0.37	0.40
Loans	765,893	850,215	953,724	1,068,939
Deposits	1,028,728	1,127,691	1,242,265	1,381,150
Total Assets	1,665,744	1,812,246	1,981,216	2,169,669
Margins and Growth				
NIM	1.6%	1.6%	1.6%	1.6%
Ratios				
Loan/ Deposit ratio	74.5%	75.4%	76.8%	77.4%
NPL / Loans	1.1%	1.1%	1.1%	1.1%
Coverage	365.5%	345.8%	332.8%	326.8%
CET 1	12.7%	12.2%	12.1%	12.1%
Non-int. income/ Income	15.3%	13.2%	12.4%	11.0%
Cost/Income	32.9%	31.6%	31.2%	30.5%
LLP/Loans	(0.7%)	(0.6%)	(0.6%)	(0.6%)
ROA	0.8%	0.7%	0.7%	0.7%
ROE	9.0%	9.2%	9.2%	9.4%
Valuation				
Dividend yield	4.7%	5.0%	5.4%	5.9%
Adj. P/E	6.4	6.0	5.6	5.1
P/ BV	0.6	0.5	0.5	0.5

Summary Investment Thesis and Valuation

- We believe CRCB has reached a turning point in asset quality, with a decrease in NPL formation and credit cost. We expect the AQ outlook to remain largely stable, despite some fluctuations from the retail side. We rate the stock OW.
- CRCB has a strong funding franchise, achieved by its full outlet coverage in the Chongqing City and County area. CRCB had the lowest deposit cost and highest deposit contribution to IBL mix among its CRB peers.
- The dividend yield is attractive, at ~5% in FY26E, in our view, while we believe HY investors prefer larger SOE names due to more stable dividend records and EPS outlooks.

Our Dec-26 PT of Rmb8.30 is based on a DDM, assuming a cost of equity of 11.3%, a normalized ROE of 8.7% and a terminal date of 31 December 2028.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: China	-0.15	-0.18
Macro:		
Citi Economic Surprise - EM	0.18	0.28
JP Morgan GBI-EM Global Div	0.26	0.23
Generic 1st 'CO' Future	-0.07	-0.17
Quant Styles:		
DivYld	0.49	0.48
LowVol	0.39	0.48
Value	0.42	0.41

Chongqing Rural Commercial Bank - A: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	47,088	46,465	46,641	48,679	51,515	Cash and cash equivalents	2,246	2,958	3,612	2,474	3,169
Interest expense	(24,593)	(22,205)	(19,988)	(19,615)	(19,632)	Deposits with banks	181,368	228,771	240,763	253,822	268,399
Net interest income	22,494	24,261	26,652	29,065	31,884	Net loans	683,831	765,893	850,215	953,724	1,068,939
Non interest income	5,767	4,388	4,069	4,127	3,948	PP&E	4,398	5,298	6,917	9,031	11,790
o/w Fee income	1,612	1,294	1,375	1,463	1,663	Net intangibles	599	582	595	608	621
o/w Trading income	3,865	2,879	2,480	2,450	2,070	LT investments	628,003	643,629	689,326	738,269	790,686
Net revenues	28,261	28,648	30,722	33,192	35,831	Other assets	1,507,698	1,656,905	1,801,122	1,969,104	2,154,089
Non interest expense	(9,394)	(9,425)	(9,693)	(10,344)	(10,921)	Total assets	1,514,942	1,665,744	1,812,246	1,981,216	2,169,669
o/w Employee costs	(5,533)	(5,623)	(5,464)	(5,596)	(5,456)	Interest earning assets	1,491,827	1,635,855	1,777,873	1,943,389	2,125,605
Pre-Prov. Profits	18,868	19,223	21,028	22,847	24,910	Deposits	941,946	1,028,728	1,127,691	1,242,265	1,381,150
Provisions	(6,020)	(5,486)	(5,654)	(6,303)	(6,890)	Borrowings	411,200	464,718	487,011	505,141	500,086
Adj. PBT	12,817	13,709	15,374	16,545	18,020	Other liabilities	189,966	209,528	206,067	230,869	272,915
Income taxes	(1,028)	(1,289)	(2,080)	(2,239)	(2,438)	Total liabilities	1,381,333	1,526,448	1,663,562	1,822,418	1,999,785
Minority interest	(276)	(292)	(292)	(292)	(292)	Shareholder equity	131,694	137,127	146,515	156,629	167,715
Adj. Net profit	11,513	12,128	13,002	14,015	15,290	Minority interests	1,915	2,169	2,169	2,169	2,169
PPOP per share	1.66	1.69	1.85	2.01	2.19	Total liabilities and Shareholder equity	1,514,942	1,665,744	1,812,246	1,981,216	2,169,669
Reported EPS	1.01	1.07	1.14	1.23	1.35	Interest bearing liabilities	1,353,147	1,493,445	1,614,702	1,747,405	1,881,236
Adj. EPS	1.01	1.07	1.14	1.23	1.35	Book Value Per Share	11.60	12.07	12.90	13.79	14.77
DPS	0.48	0.32	0.34	0.37	0.40	Tangible Book Value Per Share	11.54	12.02	12.85	13.74	14.71
Diluted shares outstanding	11,357	11,357	11,357	11,357	11,357						
Balance Sheet Gearing						Asset Quality/Capital					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	72.6%	74.5%	75.4%	76.8%	77.4%	Loan loss reserves/Loans	(4.3%)	(3.9%)	(3.7%)	(3.5%)	(3.5%)
Investment/Assets	41.5%	40.0%	38.3%	37.6%	36.8%	NPLs/Loans	1.2%	1.1%	1.1%	1.1%	1.1%
Loan/Assets	47.1%	47.5%	48.3%	49.3%	50.5%	Loan loss reserves/NPLs	363.3%	363.5%	355.2%	338.9%	329.6%
Customer deposits/Liabilities	68.2%	67.4%	67.8%	68.2%	69.1%	NPL y/y growth	4.5%	2.0%	10.2%	11.3%	11.5%
LT debt/Liabilities	10.8%	12.4%	11.3%	9.8%	8.9%	Tier 1 ratio	14.2%	12.7%	12.2%	12.1%	12.1%
						CAR	16.1%	14.5%	13.2%	13.2%	13.2%
Ratio Analysis (%)						Ratio Analysis (%)					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.6%	1.6%	1.6%	1.6%	1.6%	Return on equity (ROE)	9.1%	9.0%	9.2%	9.2%	9.4%
Non interest income/Net revenue	20.4%	15.3%	13.2%	12.4%	11.0%	Return on assets (ROA)	0.8%	0.8%	0.7%	0.7%	0.7%
Non interest income/Avg. Assets	0.4%	0.3%	0.2%	0.2%	0.2%	Operating ROA	0.9%	0.9%	0.9%	0.9%	0.9%
Efficiency ratio	33.2%	32.9%	31.6%	31.2%	30.5%	Pre-Tax ROA	0.9%	0.9%	0.9%	0.9%	0.9%
Leverage ratio	8.6%	8.2%	7.9%	7.7%	7.6%	Pre-Provision ROA	1.3%	1.2%	1.2%	1.2%	1.2%
Revenue/Assets	1.9%	1.8%	1.8%	1.7%	1.7%	Tax rate	8.0%	9.4%	13.5%	13.5%	13.5%
RORWA	1.3%	1.3%	1.2%	1.2%	1.2%						
RWA	888,053	1,034,811	1,125,822	1,210,979	1,304,471	Net loans y/y growth	5.6%	12.0%	11.0%	12.2%	12.1%
Avg. RWA	874,469	961,432	1,080,316	1,168,401	1,257,725	Assets y/y growth	5.1%	10.0%	8.8%	9.3%	9.5%
Avg. IEA	1,454,995	1,563,841	1,756,865	1,920,542	2,100,335	RWA y/y growth	3.2%	16.5%	8.8%	7.6%	7.7%
Gross Loans	714,273	797,287	882,955	988,795	1,107,322	Deposits y/y growth	5.1%	9.2%	9.6%	10.2%	11.2%
Avg. IBL	1,323,332	1,423,296	1,554,074	1,681,054	1,814,321	Net interest income y/y growth	(4.3%)	7.9%	9.9%	9.1%	9.7%
LLR	(30,442)	(31,394)	(32,740)	(35,072)	(38,383)	Revenues y/y growth	1.1%	1.4%	7.2%	8.0%	8.0%
NPLs	8,420	8,589	9,469	10,540	11,746	Adj. EPS y/y growth	5.6%	5.3%	7.2%	7.8%	9.1%
P/BV (x)	0.6	0.6	0.5	0.5	0.5	BVPS y/y growth	8.2%	4.1%	6.8%	6.9%	7.1%
Adj. P/E (x)	6.8	6.4	6.0	5.6	5.1	IE assets/Assets	98.4%	98.3%	101.0%	101.3%	101.2%
Dividend yield	7.0%	4.7%	5.0%	5.4%	5.9%	Margins (as % of Avg. Assets)	1.5%	1.5%	1.6%	1.6%	1.6%
Dividend payout	47.6%	30.1%	30.0%	30.0%	30.0%	LLP/Loans	(0.8%)	(0.7%)	(0.6%)	(0.6%)	(0.6%)
						Equity/Assets	8.6%	8.5%	8.2%	8.0%	7.8%
						Cost/Assets	0.6%	0.6%	0.6%	0.5%	0.5%
						Assets/Equity	11.7	11.8	12.3	12.5	12.8

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

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